SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 32
JUDICIAL OFFICER: JONI T HIRAMOTO
HEARING DATE: 05/29/2026

ALL APPEARANCES WILL BE BY ZOOM.

The tentative ruling will become the Court's ruling unless by 4:00 p.m. of the court day preceding the hearing, counsel or self-represented parties **EMAIL THE DEPARTMENT** at dept32@contracosta.courts.ca.gov to request argument and **SPECIFY THE ISSUES to be argued**.

Counsel or self-represented parties requesting argument must advise all other affected counsel and self-represented parties by no later than 4:00 p.m. of his or her intention to appear and of the issues to be argued.

Failure to timely advise the Court and counsel or self-represented parties will preclude any party from arguing the matter. (Local Rule 3.43(2).)

CourtCall will **NOT** be used by D32.

Zoom is approved for all hearings except Issue Conferences and Trials.

Dept. 32's telephone number is: (925) 608-1132.

Dept. 32's email address is: dept32@contracosta.courts.ca.gov.

Submission of Orders After Hearing in Department 32 Cases

The prevailing party must prepare an order after hearing in accordance with CRC 3.1312. The order must include appearances. If the tentative ruling becomes the Court's ruling, a copy of the Court's tentative ruling **must be attached to the proposed order** when submitted to the Court for issuance of the order.

Zoom hearing information

https://contracosta-courts-ca.zoomgov.com/j/1613360625?pwd=pSvvmR75t9Q2H5zOgagi9rbG4xeTUM.1

Meeting ID: 161 336 0625

Passcode: 180770

Law & Motion

1. 9:00 AM CASE NUMBER: C23-01054
CASE NAME: SWEET ADELINE INC VS. TASTYWINGS INC
***HEARING ON MOTION IN RE: RECONSIDERATION**
FILED BY: LEVY, CASSANDRA
TENTATIVE RULING:

Good cause appearing, the court **grants** the motion for reconsideration.

1. Pursuant to California Code of Civil Procedure (CCP) section 1008, this Court's Order for the December 26, 2025 hearing is hereby **RESCINDED** in its entirety.
2. Defendant TastyWings, Inc.'s monetary sanctions in the amount of $4,942.50 per this Court's Order for the December 26, 2025 hearing is **VACATED** against Plaintiff in view of the circumstances set forth in Plaintiff's Motion For Reconsideration.
3. Relief from this Court's Order for the December 26, 2025 hearing is granted pursuant to CCP section 473(b) on the grounds of mistake, inadvertence, surprise, or excusable neglect, in the view of the circumstances set forth in Plaintiff's Motion For Reconsideration.
4. Plaintiff and Defendant, TastyWings, Inc. are hereby ordered to Meet and Confer to determine if, given Plaintiff's subsequent production of documents, there has been substantial compliance with Defendant's outstanding discovery requests. This Meet and Confer shall occur within 30 days of service of notice of entry of this Order.

2. 9:00 AM CASE NUMBER: C23-01788
CASE NAME: NEENA KADABA VS. ARASH HATAMBEIKI
***HEARING ON MOTION IN RE: STRIKE OR, IN THE ALTERNATIVE, TO TAX COSTS**
FILED BY: KADABA, NEENA
TENTATIVE RULING:

The Plaintiffs' Motion to Strike or in the Alternative to Tax Costs is granted in part and denied in part.

As to Line 13, Models enlargements, and photocopies of exhibits: $2,459.57, the motion is **denied**. The court finds that the three Ontellus invoices pertain to business records of parties retained by Plaintiffs for survey and other work related to the subject matter of the litigation. The Plaintiffs' objections are answered in the Defendant's pleadings and court finds the description of the costs to be appropriate.

As to Line 15, Mediation fees: $5,400, the motion to strike is **granted**. These are not statutory fees. Merely because Plaintiffs requested mediation prior to the hearing on the Defendant's motion for summary judgment/adjudication does not mean that the mediation was reasonably necessary to the litigation.

The fallacy of "*post hoc, ergo propter hoc" (*lat. "after this, therefore because of this.") applies here. Just because something came after does not mean it caused it. Merely because the mediation was followed in time by the Plaintiffs' dismissal of the case does not mean the mediation caused the dismissal, or was reasonably necessary to the litigation. The court would only be speculating that the mediation was reasonably necessary to the litigation on the record here.

As to Line 15, fees of $220 for servicing the gate, the motion to strike is **granted**. The Defendants' invoice, "for a service call on the gate," to "reset the limit switches on the double swing gate," appear to be ordinary service work or repair work. It does not appear to be a litigation driven inspection cost. That it may have been initiated by the Defendants in response to Plaintiff's inspection of the gate as "proactive servicing," as described by the Defendants, does not make it a litigation cost. It does not appear to be a mere "inspection," rather, it appears to be regular servicing of the gate.

In summary, as to Line 13, Models enlargements, and photocopies of exhibits: $2,459.57, the motion to strike or tax costs is **denied**. As to Line 15, Mediation fees: $5,400, the motion to strike is **granted**. As to Line 15, fees of $220 for servicing the gate, the motion to strike is **granted**.

3. 9:00 AM CASE NUMBER: C23-02656
CASE NAME: MARIA ANGUIANO VS. JOHN BALQUIST
HEARING IN RE: JOINDER OF MOTION FOR TERMINATING SANCTIONS AGAINST PLAINTIFF ALEJANDRA CHAVEZ ORTIZ
FILED BY: BALQUIST, JOHN
TENTATIVE RULING:*

The unopposed motion of Defendants Bethel Islands Estates MHC, LLC and Monte Christo Communities, LLC (Defendants) for Terminating Sanctions against Plaintiff Alejandra Chavez Ortiz is granted. Plaintiff Chavez Ortiz's Complaint against Defendants is dismissed with prejudice in its entirety.

4. 9:00 AM CASE NUMBER: C23-02945
CASE NAME: ARIANA MOORE VS. DOES 1-30, INCLUSIVE
HEARING ON SUMMARY MOTION JUDGEMENT HEARING / CONT'D FROM 5/1/26 PER TR
FILED BY: BIKRAMJIT S. RANDHAWA AS TRUSTEE OF THE RANDHAWA REVOCABLE TRUST, DATED OCTOBER
TENTATIVE RULING:

Before the Court is a motion for summary judgment, or in the alternative summary adjudication of issues filed by defendants Bikram Randhawa, Schlatter Associates, Inc., Brigitte Schlatter, Bikramjit S. Randhawa as Trustee of the Randhawa Revocable Trust Dated October 2, 2015, and Dalbir K. Randhawa as Trustee of the Randhawa Revocable Trust Dated October 2, 2015. For the reasons set forth, (a) the motion for summary judgment is **denied**; (b) the motion for summary adjudication of the second, third, eighth, ninth, and eleventh causes of action (Issues 1 (as to 2nd C/A), 3, 4, 8, 9, 10, 11, and 12) against defendants Brigitte Schlatter and Schlatter Associates, Inc. is **granted**; (c) the motion for summary adjudication of issues as to the first, fourth, fifth, sixth, and seventh causes of action (Issues 1, 5,6, and 7) against defendants Brigitte Schlatter and Schlatter Associates, Inc. is **denied;** and (d) the motion for summary adjudication of all 11 causes of action (Issues 1 through 12) against defendants Bikram Randhawa, Bikramjit S. Randhawa as Trustee of the Randhawa Revocable Trust Dated October 2, 2015, and Dalbir K. Randhawa as Trustee of the Randhawa Revocable Trust Dated October 2, 2015 is **denied**.

Background

Plaintiff's complaint alleges she was a tenant in Unit D of 5407 Morrow Drive (the "Unit"), which is part of a four-building, 31-unit residential apartment complex owned or controlled by the defendants in San Pablo (the "Property"). When she became a tenant in May 2020, she entered into her rental agreement with defendant Megem, LLC, the owner of the building at that time. (Compl. ¶ 9 and Exh. A.) The complaint names defendants Megem, LLC, Bella Vista Property Solutions LP and Community Capital Management, Inc. (collectively those defendants are referred to in this ruling as the "Megem Defendants" for convenience). Plaintiff has added as "Doe" defendants Bikram Randhawa, Schlatter Associates, Inc., Brigitte Schatter, Bikramjit S. Randhawa as Trustee of the Randhawa Revocable Trust Dated October 2, 2015, and Dalbir K. Randhawa as Trustee of the Randhawa Revocable Trust Dated October 2, 2015 (collectively sometimes referred to as the "moving parties"). For convenience, the Court refers to defendants Bikram Randhawa, Bikramjit S. Randhawa as Trustee of the Randhawa Revocable Trust Dated October 2, 2015, and Dalbir K. Randhawa as Trustee of the Randhawa Revocable Trust Dated October 2, 2015 collectively as the "Randhawa Defendants," and defendants Brigitte Schlatter and Schlatter Associates, Inc. as the "Schlatter Defendants."

Plaintiff alleges there were substantial defects in the condition of the property, including rodents and bugs, mold, defective plumbing, water leak intrusions, cracks in walls, dangerous and defective floors, and general lack of maintenance of which she alleges Defendants had notice and which were longstanding and continued without repair. (Compl. ¶¶ 11-14.) She alleges on September 25, 2023, she tripped over a dangerous and defective floor in her kitchen and suffered personal injuries, though she alleges she informed Defendants of the dangerous condition and the damaged floor was not corrected or repaired. (Compl. ¶ 15.)

Plaintiff entered into a settlement with the Megem Defendants which the Court previously approved as a good faith settlement. (2/7/2025 Min. Order.) The moving parties now move for summary judgment, or alternatively, for summary adjudication of issues. Plaintiff opposes the motion.

<u>Legal Standards for Ruling on Defendants' Motion</u>

Under Code of Civil Procedure § 437c(c), a motion for summary judgment "shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Code Civ. Proc. § 437c(c).) When a defendant moves for summary judgment, the defendant bears the burden of producing evidence that plaintiff cannot prove one or more essential elements of plaintiff's claim or that there is a complete defense to the claim. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850; Code Civ. Proc. § 437c(p)(2).) Once the defendant meets this initial burden, the burden shifts to the plaintiff to produce admissible evidence showing that a triable issue of fact exists. (*Advent, Inc. v. National Union Fire Ins. Co. of Pittsburgh, PA* (2016) 6 Cal.App.5th 443, 453; Code Civ. Proc. §

437c(p)(2).)

Motions for summary adjudication under Code of Civil Procedure § 437c(f)(1) "are 'procedurally identical' to summary judgment motions.' [Citation.]" (*Duffey v. Tender Heart Home Care Agency, LLC* (2019) 31 Cal.App.5th 232, 240-241.) A motion for summary adjudication under Code of Civil Procedure § 437c(f)(1) can only be granted "if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty." (Code Civ. Proc. § 437c(f)(1).) (*See also Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 251.)

The issues to be considered on a motion for summary judgment or summary adjudication are defined by the pleadings. (*Anderson v. Fitness Internat., Inc.* (2016) 4 Cal.App.5th 867, 876; *Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 161 ["The complaint measures the materiality of the facts tendered in a defendant's challenge to the plaintiff's cause of action."].) The Court may not weigh the evidence but must view it "in the light most favorable to the opposing party and draw all reasonable inferences in favor of that party. [Citations omitted.]" (*Weiss v. People ex rel. Dept. of Transportation* (2020) 9 Cal.5th 840, 864.) Declarations and other evidence offered in support of a motion for summary judgment are strictly construed, while declarations and evidence offered in opposition to the motion are liberally construed. (*D'Amico v. Bd. of Medical Examiners* (1974) 11 Cal.3d 1, 20; *Johnson v. American Standard* (2008) 43 Cal.4th 56, 64.)

" '[S]ummary judgment cannot be granted when the facts are susceptible to more than one reasonable inference . . . .' " (*Husman v. Toyota Motor Credit Corp.* (2017) 12 Cal.App.5th 1168, 1180; *Cohen v. Five Brooks Stable* (2008) 159 Cal.App.4th 1476, 1497.) "All doubts as to the propriety of granting the motion—i.e., whether there is any triable issue of material fact—are to be resolved in favor of the party opposing the motion." (*Cohen, supra,* 159 Cal.App.4th at 1483.)

Request for Judicial Notice

Moving Defendants ask the Court to take judicial notice of two recorded grant deeds pertaining to the Property (Exhs. 1 and 4 to Defs. App. of Exhs. ("AOE")), and of a complaint filed by Plaintiff in another action, *Ariana Moore v. Benjamin Blair dba BB's Laundromat*, Contra Costa Conty Superior Court, Case No. C23-03119 ("Moore-Blair Action") (Defs. AOE Exh. 9). The Court grants the unopposed requests, subject to the limitations on the scope of judicial notice applicable to the documents in question. (Evid. Code §§ 452(c) and (d); *Linda Vista Village San Diego Homeowners Assn., Inc. v. Tecolote Investors, LLC* (2015) 234 Cal.App.4th 166, 184 ["Judicial notice may be taken of 'the fact of a document's recordation, the date the document was recorded and executed, the parties to the transaction reflected in a recorded document, and the document's legally operative language, assuming there is no genuine dispute regarding the document's authenticity. From this, the court may deduce and rely upon the legal effect of the recorded document, when that effect is clear from its face.' [Citation omitted.]"]; *StorMedia, Inc. v. Superior Court* (1999) 20 Cal.4th 449, 457, fn. 9 [judicial notice does not extend to truth or interpretation of the content of the filed pleadings to the extent reasonably disputable.].)

<u>Procedural Issues – Overlength Memorandum and Evidentiary Objections</u>

California Rule of Court, Rule 3.1113(d) provides a 20-page limit for a memorandum in support of a motion for summary judgment. Moving parties' memorandum substantially exceeds that page length (27 pages), and they did not request leave to file a longer memorandum under Rule 3.1113(e). The Court has discretion to consider an overlong brief. (Cal. R. Ct., Rule 3.1113(g) ["A memorandum that exceeds the page limits of these rules must be filed and considered in the same manner as a late-filed paper."]; *Rancho Mirage Homeowners Association v. Hazelbaker* (2016) 2 Cal.App.5th 252, 262 [court discretion to consider late brief].) Plaintiff has filed a full substantive response to all the issues addressed in the moving memorandum without any objection to the overlength brief. The Court will consider the overlong brief but cautions counsel for moving parties that it expects compliance with the applicable court rules in future filings.

Plaintiff has filed evidentiary objections to evidence offered by Defendants in support of their motion, consistent with California Rule of Court, Rule 3.1354. The rules applicable to motions for summary judgment and summary adjudication provide that the response to the separate statement should indicate if the opposing party has made evidentiary objections to the evidence supporting an undisputed material fact stated in the moving party's separate statement, but the evidentiary objection itself must be made in a separate document and be directed to the specific item of evidence subject to the objection. (Cal. R. Ct., Rules 3.1350 and 3.1354.) The Court does not consider evidentiary objections stated in Plaintiff's Response to the moving parties' separate statement. (*See, e.g.*, UMF 42 and Pl. Resp. to UMF 42.)

Supplemental Briefing as to Schlatter Defendants and Their Nonliability as A Matter of Law on the Second, Third, Eighth, Ninth and Eleventh Causes of Action

The Court on its own motion continued the May 1, 2026 hearing on the motion to this date and requested that the parties provide supplemental briefing. In the Court's May 1, 2026 tentative ruling, which was uncontested and became the order of the Court, the Court raised legal issues as to the undisputed facts before the Court that Brigitte Schlatter, the principal of Schlatter Associates, Inc., and Schlatter Associates, Inc. are only property managers and agents for the property owners, the Randhawa Defendants. The Court asked the parties to provide supplemental briefs, and supplemental evidence if they chose, to address whether the Schlatter Defendants had no liability as a matter of law on the second, third, eighth, ninth, and eleventh causes of action based on the authorities cited in the May 1, 2026 tentative ruling.

On May 8, 2026, the parties timely filed supplemental briefs. Plaintiff's supplemental opposition "submits" on the Court's May 1, 2026 tentative ruling, and Plaintiff has conceded that the Schlatter Defendants "are not liable for Causes of Action #2, 3, 8, 9, and 11 only." (Pl. Suppl. Opp. p. 1.) The Court's ruling in this tentative ruling as to those defendants on those five causes of action is based on the May 1, 2026 tentative ruling adopted by the Court, and Plaintiff's supplemental opposition.

Analysis

Moving parties seek summary judgment as to the complaint in its entirety, or alternatively, summary adjudication of 12 separate issues addressing the 11 causes of action alleged against them. The motion is supported by a Separate

Statement ("SS") of Undisputed Material Facts ("UMFs") listing the 12 issues from the motion to which Plaintiff has responded (Pl. Resp. to UMFs). Plaintiff has also filed a separate document titled Plaintiff's Separate Statement which lists additional facts ("AFs") which Plaintiff contends raise factual disputes precluding summary judgment and summary adjudication of the 12 issues. Moving parties have filed a Response to Plaintiff's Separate Statement of AFs.

All of Plaintiff's 11 causes of action are alleged against all defendants, including both the Randhawa Defendants, the owners of the Property through their Trust, and the Schlatter Defendants, the managers of the Property since the Randhawas purchased the Property. (Pl. AF 28; Schlatter Decl. ¶¶ 3, 5.) Schlatter is the principal and sole owner of Schlatter Associates, Inc. (Schlatter Decl. ¶ 3.)

A. <u>Undisputed Material Facts</u>

Only the most basic facts out of which the parties' disputes arise are listed by Plaintiff as undisputed. She admits her tenancy in the Unit D commenced in May 2020 and is reflected in a written lease agreement between Plaintiff and Megem, LLC, the former owner of the Property. (UMFs 1-3.) She admits Bikramjit S. Randhawa and Dalbir K. Randhawa as Trustees of the Randhawa Revocable Trust Dated October 2, 2015 purchased the Property from Megem, LLC. (UMF 5.) Plaintiff does not dispute that she sent an email to Defendants on October 15, 2023, listing certain defective conditions in her apartment, which included mold, hazardous floor in the kitchen, and leaks in the bathroom toilet and shower head. (UMFs 18, 19.) It is also undisputed that Plaintiff sent an email on June 4, 2024 stating, among other things, she "still" had mold, the shower sprays and leaks, her kitchen sink "still has a leak, and raising "false" accusations by her neighbor of marijuana use. (UMF 23.)

Among other claims asserted by Plaintiff in the complaint, Plaintiff alleges she was injured tripping over the damaged floor in her kitchen on September 25, 2023. (Compl. ¶ 15.) It is undisputed that prior to the alleged September 25, 2023 fall in her kitchen, Plaintiff sustained an ankle injury in a separate slip-and-fall at an offsite laundromat on September 4, 2023, and she was wearing a boot on September 25, 2023 when she alleges she fell in her kitchen. (UMF 10.) She alleges the boot caught on a hole in the floor, causing her to fall. (UMF 11.)

Plaintiff crossed the threshold whenever she went into her kitchen. (UMF 12.)

Plaintiff admits that Randhawa has not terminated her tenancy and that she remains in possession of her Unit. (UMFs 31, 33.) She does not raise a genuine dispute of fact that Randhawa has not filed an unlawful detainer action against her. (UMF 32; Pl. Resp. to UMF 32.) Moving Defendants discovered that the prior owner of the Property had increased Plaintiff's $1,895.00 rent by 10% to $2,084.50, which the Moving Defendants believed was erroneous. (UMF 37.) Plaintiff has also not raised a genuine dispute regarding whether her rent as of December 2, 2024 was $2,259.74 or $2,275 based on the October 7, 2024 email from Randhawa's counsel to counsel for Plaintiff, because defendants explain the $2,275 rent was adjusted in the December 2, 2024 letter from counsel. (*See* UMFs 40, 41; Pl. Resp. to UMFs 40, 41.) It is unclear whether any dispute regarding UMFs 40 or 41 is material in any event.

UMF 27 is not genuinely disputed; the evidence cited in support of that UMF includes the three-day notice to quit or pay rent dated July 6, 2024 but UMF 27 apparently mistakenly omitted that date in the list of notices. The Court also finds that Plaintiff has not raised a genuine dispute as to UMF 28 for the same reasons as UMF 26, and because the Court has overruled Plaintiff's objection to the rent ledger. (*See* Rulings on Evid. Objs. below.)

Plaintiff has not genuinely disputed the stated basis for the three-day notices to perform conditions or quit which are the subject of UMFs 29 and 30. (Pl. Resp. to UMFs 29, 30.) Plaintiff, however, disputes whether there was in fact just cause for issuance of those notices based on her alleged smoking, specifically marijuana smoking at the Property, and failing to clean up after her dog. (Pl. Resp. to UMFs 29, 30 [misciting Moore Decl. ¶ 15, presumably intended to refer to Moore Decl. ¶ 16 ["During my tenancy at the Property, I have not smoked any substances, including but not limited to marijuana, while at the Property. I have also picked up after Prince, my dog, when he pooped during his walk at the Property."].) She does not address other grounds stated in the July 15, 2025 notice to perform or quit, including allowing her dog to wander on the Property off-leash, storage of a dirty pet bed in the walkway next to her door, and having a pet cat without owner's prior approval. (UMFs 29, 30 and Defs. Exh. 24; Pl. Resp. to UMFs 29, 30 and Moore Decl. ¶ 16.)

B. Facts Genuinely Disputed by Plaintiff

The Court finds that a number of the UMFs are genuinely disputed by the evidence presented by Plaintiff in opposition to the motion.

There is some genuine dispute about the extent to which the Randhawa Defendants had information regarding at least some issues with Plaintiff's Unit that had been subject to her complaints, including the cracks in the walls and defective flooring in particular which the inspection company noted required repair in its June 2023 inspection report prepared for Randhawa. (UMFs 6, 7 and Pl. Resp. to UMFs 6, 7 citing portions of Hicks DT and Pinza Decl. ¶¶ 5, 6.) (*See also* Defs. Exh. 5 [Giant Jims Inspection Services Report dated June 23, 2023, pp. 12 and 48 [flooring], 50 and 51 [cracks in ceiling and walls]; Pl. AF 17 [Randhawa obtained a copy of the Giant Jims report on June 28, 2023].) The fact that the Pinza Group may have turned over to the buyer or buyer's agent documents in its possession regarding the Property as part of the sale does not demonstrate that emails between Plaintiff and the property management company managing the Property for the former owner Megem, LLC were turned over before the sale closed. (Pinza Decl. ¶¶ 5, 6.) Nothing in the Pinza Declaration identifies or describes the nature or content of any documents in its possession that were turned over, and the Court has sustained Plaintiff's evidentiary objection to the Pinza Declaration to the extent Pinza purports to declare that Megem, LLC turned over documents to Randhawa or his agent before the sale closed, documents which are similarly not identified or described. (*See also* Rulings on Evid. Objs. below.)

UMF 17, that Plaintiff did not report any complaints about her Unit until her October 15, 2023 email, is genuinely disputed by Moore's Declaration, though Moore cannot rely on her responses to special interrogatories propounded by defendant to raise a dispute. (Pl. Resp. to UMF 17 [Moore Decl. ¶ 6, stating "On August 23, 2023, I made direct complaints to Bikram Randhawa, when he came to the Property to introduce himself as the new landlord. Specifically, I complained about mold/mildew, roaches and rodents, defective plumbing, cracks in the walls, water leaks, mailbox issues, dangerous, dirty and unkept floors, defective flooring, lack of hot water, general dilapidation and lack of maintenance."].) (*But see* Code Civ. Proc. § 2023.410 ["At the trial <u>or any other</u>

hearing in the action, so far as admissible under the rules of evidence, the propounding party or any party other than the responding party may use any answer or part of an answer to an interrogatory only against the responding party." (Emphasis added.); *Bayramoglu v. Nationstar Mortgage LLC* (2020) 51 Cal.App.5th 726, 740; *Great American Insurance Companies v. Gordon Trucking, Inc.* (2008) 165 Cal.App.4th 445, 450.)

Plaintiff has also genuinely disputed UMFs 15 and 16 that defendants were not notified of any complaint about the threshold and the dangerous condition of Plaintiff's kitchen floor until after Plaintiff's alleged fall on September 25, 2023. (UMFs 15, 16 and Pl. Resp. to UMFs 15, 16 citing Moore Decl. ¶ 6 and Giant Jims Inspection PMQ Hicks DT regarding flooring in her Unit needing repair.) Those UMFs are disputed, without consideration of Plaintiff's responses to the special interrogatories. (*See also* Pl. AF 17 [Randhawa obtained a copy of the Giant Jims Inspection Report on June 28, 2023.)

Plaintiff has also genuinely disputed that defendants responded to the complaints made in her October 15, 2023 email within a reasonable time and that she made no complaints regarding her Unit between October 23, 2023 and June 4, 2024. (UMFs 20, 21, 22 and Pl. Resp. to UMFs 20, 21, and 22 [citing Moore Decl. ¶¶ 7 and 8 ["The specific issues brought up in my October 15, 2023 email were not resolved within a reasonable time. In particular, the recurrent problems with mold in the Unit, leaks in the bathroom and a rusted/broken spout diverted in the bathtub remained unrepaired as of June 4, 2024, which is almost 8 months later and continue to this very day. [¶] I orally complained to Defendants Bikram Randhawa and Brigitte Schlatter several times about issues in my Unit between October 23, 2023 and June 4, 2024."].) (*See also* UMF 23 [citing Moore email of June 4, 2024 referring to "still" having back mold and later in the email shower spraying and leaking].)

Plaintiff has also genuinely disputed UMF 25 regarding defendants' notice of various defects such as "rodents/insects," dangerous, unkempt and dirty floors, and cracks in walls, affecting Plaintiff's Unit by the Moore Declaration and other cited evidence, other than Plaintiff's responses to the defendants' special interrogatories. (UMF 25; Pl. Resp. to UMF 25.) Indeed, Defendants' Exhibit 28, the City of San Pablo inspection report based on its August 14, 2023 inspection of the Property (though the face of the report shows "report sent October 10, 2023") lists "Required Actions Not Requiring Permit" for Plaintiff's Unit, including "remove mold/mildew and seal perimeter of bathtub to prevent water intrusion into wall cavities at bathtub area" and "repair tripping hazard at kitchen floor; cracked and damaged linoleum; repair and/or replace." (Defs. Exh. 28, page 5 of 15 Item f for Unit D.) This evidence offered by the moving parties itself raises a triable issue as to whether the inspections of the Unit conducted by Giant Jims for Randhawa in June 2023 (a report which he received on June 28, 2023) and August 2023 (when Randhawa visited the Unit on August 23, 2023 after he became the owner and when Moore contends she informed him of the floor damage) provided the Randhawa Defendants at a minimum with notice of the plumbing problems she cited and the dangerous condition of her floor, which she contends caused her to trip and fall on September 25, 2023.

Defendants contend that the items included in the Giant Jims report pertaining to Plaintiff's Unit were only placed in the "repair" category and not listed as a "major concern" or "safety issue" in that report. Defendants cite Giant Jims' explanation of those categories in the report: (a) "MAJOR CONCERN: a system or component, which is considered significantly deficient or is unsafe. Significant deficiencies need to be corrected and, except for some safety items, are likely to involve significant expense."; (b) "SAFETY ISSUE: denotes a condition that is unsafe and in need of prompt attention."; and (c) "REPAIR: denotes a system or component which is missing or which needs corrective action to assure proper and reliable function." (Defs. Exh. 5 p. 4 of 60 [emphasis added].) That section of the report also contends the following cautionary language: "This report is not a warranty and this firm does not warrant that this report will be accepted as written by all parties to the transaction. Clients are cautioned that trade professionals will not always agree with these assessments. Some may see an issue as more serious than described here, while others may consider an issue less serious or even non-existent. That is because these conventions are the writer’s subjective assessment only, and are based on his or her own training and experiences. For that reason this firm recommends that clients always obtain estimates for repairs from their own contractor, not those chosen by a seller or a real estate agent, and be sure to obtain a second opinion concerning all costs and proposed repairs." (Defs. Exh. 5, p. 4 of 60 [Italics omitted, underscoring added].)

The report includes a "Summary of Deficiencies" section which states in part "Note: This analysis is not meant to be technically exhaustive but rather to highlight areas where repairs are needed or areas of long term future concern relating to maintenance and operation. [¶] This summary lists items taken from the main report that we feel need immediate attention or consideration. It is entirely the customer's decision whether or not to include additional items from the main report that they may have concerns about." (Defs. Exh. 5, p. 5 of 60 [emphasis added].) Among the items included in the Summary of Deficiencies under Section 10: Building Interior denoted as "Repair" in red lettering are the following three items for Plaintiff's Unit: (1) "the vinyl floor in the bathroom is damaged and needs replacement. We recommend that a flooring contractor be contacted for repairs."; (2) "The linoleum in units 5407-D, 5411-K kitchen is damaged. Repair and or replacement are advised."; and (3) "The carpets in unit 5407-D, 5411-B, and D are very dirty. We recommend replacement of the carpets." (Defs. Exh. 5, p. 12 of 60 Section 10, Items 2-4; also compare to p. 13 of 60, Section 10, Item 9 referring to "cosmetic damage" to linoleum in another unit's kitchen.) (*See also* Defs. Exh. 5, p. 13 of 60, Items 12 and 15 [recommending cracks in ceiling and walls of Plaintiff's Unit be repaired].) Dirty carpeting may be evidence of "dilapidation" and lack of maintenance of the flooring. The Giant Jims Inspection Report includes a photo of the damaged kitchen flooring in Plaintiff's Unit, copied below. (Defs. Exh. 5, p. 48 of 60.)

Plaintiff has raised a genuine dispute of fact regarding the timeliness and amount of her rent payments as to some of her rent payments, though not as to rent due in September and October 2023. (UMF 26.) In the face of a ledger maintained in the ordinary course of management of the Property by the property manager responsible for the collection and accounting for rent payments as well as specific testimony by Schlatter as to when she received Plaintiff's payments and the deficiencies (*see* Schlatter Decl. ¶¶ 15-31 and Defs. Exh. 18), Plaintiff makes a general statement that "there were only 3 instances when [she] did not pay the rent as of the first of the month," between September 2023 and April 2025, without identifying the dates or months, and that she "did not fail to timely pay" her rent "on each and every one" of dates given by month and year in UMF 26. (Pl. Resp. to UMF 26 [misciting Moore Decl. ¶ 9 but apparently intending to cite Moore Decl. ¶ 11].) She provides no dates or amounts of any of her payments.

Moore's statement in her declaration that she "did not fail to timely pay" her rent for September and October 2023 directly <u>contradicts</u> her admissions at her prior deposition that she had not timely and fully paid her rent for those months. (Defs. Exh. 7 [Moore DT p. 217. Ll. 1-3, stating that on September 23, 2023 and October 23, 2023, it was fair to state that her rent was not fully paid on the first]; *D'Amico, supra,* 11 Cal.3d at 21 [statement in later declaration filed in opposition to motion for summary judgment that directly contradicts a clear admission in prior deposition testimony does not raise a triable issue of fact]; *Whitmire v. Ingersoll-Rand Co.* (2010) 184 Cal. App. 4th 1078, 1087 ["It is well established that 'a party cannot create an issue of fact by a declaration which contradicts his prior discovery responses.' [Citations omitted.] In determining whether any triable issue of material fact exists, the trial court may give 'great weight' to admissions made in discovery and 'disregard contradictory and self-serving affidavits of the party.' [Citation omitted.]"].) Moore has not validly disputed that her rent payments for September and October 2023 were untimely by not being paid by the first of the month.

While defendants argue that the Moore Declaration denying that she paid her rent payments late in the other months specified in UMF 26 is not substantial evidence (Moore Decl. ¶¶ 11, 12), the testimony of one witness has been held to constitute substantial evidence. (*Greenwich S.F., LLC v. Wong* (2010) 190 Cal.App.4th 739, 767-768 [though reversing a verdict granting lost profits as damages, court stated, "The testimony of one witness may provide substantial evidence. [Citation omitted.] Cancelled checks or official documentation of the costs incurred are not required to support the jury's award. The absence of such documentation goes to the weight of the evidence and the credibility of the witness. Those determinations are for the jury."].)

The Court cannot weigh the evidence or the credibility of testimony on a motion for summary judgment, as stated in the authorities cited above. Further, declaration evidence by a party to the action is not rejected because it is offered in support of the party's position; Defendants' argument that Moore's declaration is "self-serving" is an argument that has been rejected as founded on an outdated rule in which parties could not testify on their own behalf. (*See Oiye v. Fox* (2012) 211 Cal.App.4th 1036, 1049-1050 ["Modern courts have recognized that all evidence proffered by a party is intended to be self-serving in the sense of supporting the party's position, and it cannot be discounted on that basis. [Citations omitted.]"]; *Michaels v. Greenberg Traurig, LLP* (2021) 62

Cal. App. 5th 512, 526 [same].) Courts have sometimes characterized evidence offered in a declaration in opposition to a motion for summary judgment as "self-serving" and insufficient to raise a triable issue if the declaration statements directly contradict prior admissions by the declarant in a deposition or written discovery response. (*Harris v. Thomas Dee Engineering Co., Inc*. 2021) 68 Cal. App. 5th 594, 605 [citing among other decisions *Price v. Wells Fargo Bank* (1989) 213 Cal.App.3d 465, 482, overruled on other grounds in *Riverisland Cold Storage, Inc. v. Fresno-Madera Production Credit Assn.* (2013) 55 Cal.4th 1169, 1182].) (*See also D'Amico, supra,* 11 Cal.3d at 21 and *Whitmire, supra,* 184 Cal. App. 4th at 1087 cited above.)

Plaintiff has partially disputed UMFs 29 and 30 as set forth above, as to whether there was a valid basis for the first two of the notices to perform conditions or quit, as well as the smoking claim asserted as one of several bases for the third such notice. (Pl. Resp. to UMFs 29, 30.)

The Court also finds UMFs 34, 35, and 36 are either unsupported by moving parties' evidence or if supported, are disputed. Those UMFs can be considered unsupported by the evidence, in that defendants concede the proper rent as of August 23, 2023 for her Unit should have been $2,069.34 and that the amount of rent the prior owner was charging exceeded what defendants believe was allowed under Civil Code § 1947.12. (UMF 37.) As a result, the rent of $2,275 was also erroneous and exceeded the allowable increase from the true rent amount of $2,069.34. The Court has sustained evidentiary objections to the portion of the Schlatter Declaration addressing the 9.2% increase (UMF 36) as not supported in the Schlatter Declaration. (*Compare to* UMF 42 and Schlatter Decl. ¶¶ 84-88.) Given the admitted error in the rent increase effective in May 2023 which then affected the correct rent figure for the ensuing rent increase in 2024, and the lack of an adequate foundation in Schlatter's declaration for the CPI index figures Schlatter used for the 2023-2024 and 2024-2025 increases, the Court finds UMFs 34, 35, 36 and 37 are either not adequately supported by defendants' evidence and/or genuinely disputed by Plaintiff.

C. Issues 1 and 2

Plaintiff's first and second causes of action allege tortious breach, and contractual breach, of the implied covenant of habitability, respectively (Issues

1 and 2). Moving parties contend that these causes of action fail because there is no proof of any "material defects" affecting "habitability" as alleged in the complaint that were not corrected within a reasonable time sufficient to cure the defect. Moving parties also contend the tortious breach cause of action (1st C/A) fails for lack of an independent tort.

Plaintiff alleges her habitability claims are based on "rodents/insects . .. . (para. 11). (Compl. ¶ 11.) She also alleges defendants violated Health & Safety Code § 17920.3 by allowing the Property "to contain general dilapidation and improper maintenance" and to be substandard "in every way" as defined by "applicable" statutes including that Health & Safety Code statute. (Compl. ¶ 13.)

1. <u>Legal Background to Issues 1 and 2</u>

"In addition to asserting a breach of the habitability warranty as a defense to an unlawful detainer action, a tenant may bring suit against the landlord for damages resulting from such breach. [Citations omitted.] The elements of such an affirmative claim are the existence of a material defective condition affecting the premises' habitability, notice to the landlord of the condition within a reasonable time after the tenant's discovery of the condition, the landlord was given a reasonable time to correct the deficiency, and resulting damages. [Citations omitted.]" (*Erlach v. Sierra Asset Servicing, LLC* (2014) 226 Cal. App. 4th 1281, 1297.) A claim for breach of the implied warranty of habitability may be stated as a tort claim as well as a contract claim. (*Id.* at 1299 [in which Court held the complaint stated a claim for tortious violation/breach of warranty of habitability]; *Hjelm v. Prometheus Real Estate Group, Inc.* (2016) 3 Cal.App.5th 1155, 1168-1169 [citing *Erlach* and *Stoiber v. Honeychuck* (1980) 101 Cal.App.3d 903, 918–919 as to tort cause of action for violation of the covenant of habitability, but holding in that case plaintiff pursued a cause of action for breach of habitability based on the contract and was entitled to attorneys' fees based on his contract claims].)

Moving parties cite *Quevedo v. Braga* (1977) 72 Cal. App. 3d Supp. 1, disapproved on other grounds *Knight v. Hallsthammar* (1981) 29 Cal. 3d 46, 55 n. 7, and assert that Plaintiff did not plead any tortious conduct so as to support the cause of action for tortious breach of the implied warranty of habitability. Plaintiff alleges in her first cause of action for tortious breach of the implied warranty of habitability that Civil Code § 1941 and the common law impose a legal duty on the landlord to provide and maintain the premises in a habitable condition, and that defendants breached that duty. The Court in *Knight, supra,* also stated that, "At least in a situation where, as here, a landlord has notice of alleged uninhabitable conditions not caused by the tenants themselves, a landlord's breach of the implied warranty of habitability exists <u>whether or not he has had a 'reasonable' time to</u> repair. Otherwise, the mutual dependence of a landlord's obligation to maintain habitable premises, and of a tenant's duty to pay rent, would make no sense. [Citation omitted.]" (*Knight, supra,* 29 Cal.3d at 55 [emphasis added].)

In *Stoiber v. Honeychuck, supra*, 101 Cal.App.3d 903, the Court addressed a number of claims by the plaintiff arising out of alleged habitability issues where plaintiff was a tenant under a lease of residential premises. The Court differentiated between tort claims arising out of habitability defects and those based on contract. The Court held that the tenant could state tort claims against the landlord's property management agents related to habitability but not contract claims since the agents were not parties to the contract with the tenant. (*Id.* at 928-930.)

Civil Code § 1941 states: "The lessor of a building intended for the occupation of human beings must, in the absence of an agreement to the contrary, put it into a condition fit for such occupation, and repair all subsequent dilapidations thereof, which render it untenantable, except such as are mentioned in section nineteen hundred and twenty-nine." Civil Code § 1941.1(a) states that "[a] dwelling shall be deemed untenantable for purposes of § 1941 if it <u>substantially lacks **any**</u> of the following affirmative standard characteristics <u>or</u> is a residential unit described in <u>Section 17920.3</u> or 17920.10 of the Health and Safety Code," and includes a list of items that would render the premises "untenantable" if they were substantially lacking. (Civ. Code § 1941.1(a) [emphasis added].) As relevant to the allegations of the complaint and the evidence, those items include, but are not limited to, "plumbing . . . facilities . . . maintained in good working order," "a water supply . . . that produced hot and cold running water, furnished to appropriate fixtures," and "floors . . . maintained in good repair." (Civ. Code § 1941.1(a)(2), (3), and (8).)

Health & Safety Code § 17920.3 also alleged in the complaint states a building or dwelling unit is deemed substandard "in which there exists **<u>any</u>** of the following listed conditions <u>that endangers the life, limb, health, property, safety, or welfare of the occupants</u>," listing "structural hazards" which include "defective or deteriorated flooring" and plumbing "except plumbing that . . . has been maintained in good condition." (Health & Saf. Code § 17920.3(b)(2) and (e) [emphasis added].)

The Court in *Erlach, supra,* recognized that "the mere 'existence of a prohibited (uninhabitable) condition or other noncompliance with applicable code standards does not *necessarily* constitute a *breach* of the warranty of habitability.' [Citation omitted.] Whether a particular defect of violation of a housing code constitutes a breach of the implied warranty of habitability <u>depends on the severity and duration of the defect or violation</u>. [Citation omitted.] . . . . <u>[S]ubstantial noncompliance</u> with applicable code standards could lead to a breach of the warranty of habitability." (*Erlach, supra,* 226 Cal.App.4th at 1298, n. 9 [italics in original, underscoring added].)

Erlach relied on the California Supreme Court's statements in *Green* regarding the habitability standard: "In most cases substantial compliance with those applicable building and housing code standards which materially affect health and safety will suffice to meet the landlord's obligations under the common law implied warranty of habitability. As the *Hinson* court observed: '[minor] housing code violations must be considered *de minimus* and will not entitle the tenant to reduction in rent . . . .' [Citation omitted.]" (*Green v. Superior Court of San Francisco* (1974) 10 Cal.3d 616, 637-638.)

2. **<u>Whether There Are Triable Issues as to Habitability and Repair of Defects Within A Reasonable Time</u>**

Moving parties in effect contend that the Giant Jims Inspection Report and the testimony of Jim Hicks establish there were no material defects at the Property or in Plaintiff's Unit affecting habitability within the standards and meaning of Civil Code § 1941.1 and Health & Safety Code § 17920.3. The Court finds that genuine disputes as to the material facts highlighted above, particularly with regard to the existence of dangerous, deteriorated flooring in Plaintiff's Unit and issues regarding her bathroom plumbing fixtures and mold. Plaintiff admittedly complained about these issues in June 2023, she declares she reiterated her concerns orally to Randhawa on August 23, 2023 when he visited her apartment, she reiterated them again in the October 15, 2023 email, and she declares she continued to address the concerns orally after that. (Moore Decl. ¶¶ 6-8.) This evidence raises a triable issue of fact regarding at least those habitability defects and the failure of Randhawa to repair those items within a reasonable time.

The Giant Jims Inspection Report and Moore's deposition testimony indicate that the flooring in the threshold of the doorway between the living room and kitchen was deteriorated, as the photo from the Report shows. (Defs. Exh. 3 [June 2023 email from Moore], Exh. 5 [Giant Jims Inspection Report p. 48 with photo], Exh. 7 [Moore DT p. 62, l. 10 – p. 63, l. 10, p. 72, ll. 6-18, and p. 75, l. 1 – p. 76, l. 18; Exh. 12 [Moore email of October 15, 2023, citing mold, defective flooring, bathroom plumbing issues].) It is undisputed that Plaintiff contends she fell on September 25, 2023 and injured her wrist when her ankle boot/brace got caught at the threshold where the flooring is deteriorated. In a subsequent email on June 4, 2024, Plaintiff notably stated that she "still" has black mold in her apartment, and she refers to defects in the shower plumbing and a kitchen sink leak which she states "never got fixed." (Defs. Exh. 17.)

In reply, moving parties argue that the evidence shows Plaintiff's complaints in her October 15, 2023 email were addressed within approximately eight days, Plaintiff made no further complaints until June 4, 2024, and her June 4, 2024 complaints were addressed within approximately two weeks. (Reply, p. 4, ll. 14-20.) This summary ignores contrary evidence regarding the existence of flooring defects, plumbing issues, and unremedied mold cited in Plaintiff's June 2023 email, noted to some extent by the Giant Jims Inspection Report and the City report in June 2023 and August 2023, respectively, and Plaintiff's declaration testimony that she informed Randhawa directly on August 23, 2023 when he came to her apartment, such that these conditions arguably were noticed to Randhawa at least by August 23, 2023 and when unremedied until the end of October 2023.

Based on *Erlach, supra,* the Court recognizes that the extent to which defects in Plaintiff's Unit in fact breach the warranty of habitability is not necessarily determined by the fact the defects constitute code violations or defects listed in Civil Code § 1941.1 and Health & Safety Code § 17920.3, and whether there has been a breach of the warranty of habitability depends on the "severity and duration" of the defects. (*Erlach, supra,* 226 Cal.App.4th at 1298, n. 9.) On summary judgment, the Court is required to liberally construe the evidence of the opposing party, and the Court is constrained from weighing the evidence or making credibility determinations regarding the evidence presented. Based on the standards governing summary judgment, the Court does not find it can determine as a matter of law based on the conflicting evidence that the severity and duration of the defects in Plaintiff's Unit do not constitute a breach of the implied warranty of habitability.

3. **Whether Plaintiff Alleged Facts Supporting Tortious Breach**

The Court in *Stoiber, supra,* held that the plaintiff tenant had adequately alleged a basis for tort liability of the landlord and its management agents where the tenant claimed the landlord had breached the implied warranty of habitability under the lease. The tort liability in that case included causes of action for negligent violation of a statutory duty under Civil Code § 1941.1 and nuisance based on substantial interference with her use and enjoyment of the premises as a result of the habitability defects. (*Stoiber, supra,* 101 Cal.App.3d at 911, 919-920, 922-925.) The plaintiff in that case did not allege a claim for "tortious" breach of the implied warranty of habitability. (*Id.*) In *Erlach, supra,* 226 Cal.App.4th 1281, the Court held that a tenant may maintain a tort action against a landlord for tortious breach of the warranty of habitability "for damages suffered by way of annoyance or discomfort or for injury to his personal property caused by the landlord's failure to keep the premises in a habitable condition." (*Id.* at 1298.) (*See* Compl. ¶¶ 21-23.) The Court described the elements of a breach of habitability claim, cited above, and noted that the tenant might have a statutory cause of action under Civil Code § 1942.4 which precludes a landlord from demanding, collecting, or increasing rent if there is a habitability defect cited by a public officer that is not remedied in 35 days, and that violation of a statute may constitute negligence per se. These allegations were the backdrop to the Court concluding that it "could not say as a matter of law" that the tenant's causes of action in the complaint in that case, including the tortious breach of the implied warranty of habitability, was "not viable." (*Id.* at 1299.) Though the Court in this case has an evidentiary record, based on the conflicting evidence, the Court cannot say as a matter of law on this record that Plaintiff's claim for tortious breach of the implied covenant of habitability fails.

4. <u>Undisputed Facts Demonstrate No Liability of Schlatter Defendants on Second Cause of Action</u>

There is no dispute that defendant Randhawa purchased the Property subject to the Lease Agreement, and Thatte Randhawa Defendants are the current owners of the Property and in effect successors under the Lease Agreement. (Defs. Sep. Stmt., UMFs 1, 2, 5, and Pl. Resp. to UMFs 1, 2, 5.) There is also no dispute that defendant Schlatter and her company, defendant Schlatter Associates, Inc., acted as property managers and agents for the Randhawas as the property owners and landlords through their Trust. (Pl. Sep. Stmt. of Undisp. Mat. Facts [Addl. Facts] 28; Schlatter Decl. ¶¶ 2, 3, 5.) As a matter of law, the Schlatter Defendants cannot be held liable for breach of a contract to which they are not parties. (*Stoiber, supra,* 101 Cal.App.3d 903, 928-930; *Aljabban v. Fontana Indoor Swap Meet, Inc.* (2020) 54 Cal.App.5th 482, 509; *Egan v. Mut. of Omaha Ins. Co*. (1979) 24 Cal.3d 809, 824.)

5. <u>Conclusion as to Issues 1 and 2</u>

There are triable issues of material fact precluding summary adjudication of Issues 1 and 2 and the first and second causes of action for tortious and contractual breach of the implied warranty of habitability against the Randhawa Defendants for the reasons stated above. The Court finds there are triable issues of material fact regarding the first cause of action as to all the moving parties, but the Court finds there are no triable issues and that the Schlatter Defendants are entitled to summary adjudication of the second cause of action in their favor as a matter of law.

D. <u>Issues 3 and 4</u>

Moving parties contend that the third cause of action for breach of contract fails because (1) Plaintiff breached the lease <u>before</u> any breach of the lease by defendants (Issue 3); and (2) Plaintiff cannot prove that defendants breached the lease (Issue 4).

1. <u>**Legal Framework**</u>

The essential elements of a cause of action for breach of contract are "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff. [Citations omitted.]" (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.) In *Green, supra,* 10 Cal.3d 616, the California Supreme Court held that "in keeping with the contemporary trend to analyze urban residential leases under modern contractual principles, we now conclude that the tenant's duty to pay rent is 'mutually dependent' upon the landlord's fulfillment of his implied warranty of habitability. [Citation omitted.] [¶] Once we recognize that the tenant's obligation to pay rent and the landlord's warranty of habitability are mutually dependent, it becomes clear that <u>the landlord's breach of such warranty may be directly relevant to the issue of possession. If the tenant can prove such a breach by the landlord, he may demonstrate that his nonpayment of rent was justified and that no rent is in fact 'due and owing' to the landlord</u>." (*Id.* at 635 [emphasis added].)

2. <u>**Whether There Are Triable Issues Regarding Plaintiff's Prior Material Breach and the Defendants' Breach of the Implied Warranty of Habitability**</u>

Though the Court finds Plaintiff has not genuinely disputed her untimely rent payments for the months of September 2023 and October 2023, the Court finds there are nevertheless triable issues as to whether the owners of the Property were in breach of the lease before September 2023 based on the unremedied repairs and defects affecting habitability as discussed above with respect to Issues 1 and 2 beginning August 23, 2023 and whether Plaintiff timely paid her rent in November 2023. Defendants' Exhibit 18 shows the unpaid rent balance was $19.34 as of the end of September 2023 by the landlord's calculation. (Defs. Exh. 18.) Using the landlord's calculation of the rent deficiency as of November 6, 2023, the unpaid balance was $584, and the Court cannot determine whether that deficiency represents a reasonable reduction based on the habitability defects Plaintiff asserts existed. The triable issues regarding habitability and the condition of the premises existing in September and October 2023, and whether some of the complaints she had regarding mold, plumbing and other issues continued thereafter until at least June 2024, preclude the Court finding as a matter of law that Plaintiff's duty to pay rent was not limited in the September through November 2023 time frame based on the landlord's breach of the implied warranty of habitability. Further, under the case law cited above, a tenant may claim a breach of the implied warranty of habitability by the landlord even if the tenant is in default on payment of the rent. (*Knight, supra,* 29 Cal.3d at 55.)

3. No Liability of Schlatter Defendants for Breach of Contract

For the reasons set forth above as to the second cause of action, the Schlatter Defendants are not liable as a matter of law for the third cause of action for breach of contract based on the undisputed facts, as conceded by Plaintiff.

4. Conclusion as to Issues 3 and 4

The motion for summary adjudication of the third cause of action as to Schlatter and Schlatter Associates is **granted**. The motion for summary adjudication of the third cause of action and Issues 3 and 4 as to the Randhawa Defendants is **denied.**

E. Issue 5

Moving parties assert in Issue 5 that five causes of action of the complaint (4th C/A for breach of quiet enjoyment, 5th C/A for private nuisance, 6th C/A for premises liability, 7th C/A for negligence, and 10th C/A for violation of the Unfair Competition Law, Business & Professions Code § 17200, et seq.) all fail because they are based on a breach of duty to repair and provide a habitable unit alleged in the first through third causes of action. The Court has found triable issues of material fact on whether there were habitability problems with the Property and Plaintiff's Unit and whether defendants' breached their duty to repair the problems within a reasonable time with respect to Issues 1 and 2.

Defendants contend, within this one Issue 5, that the fourth and fifth causes of action fail because the breach of Plaintiff's quiet enjoyment and use of the premises must be "substantial." (*Andrews v. Mobile Aire Estates* (2005) 125 Cal.App.4th 578, 592 [minor inconveniences and annoyances not actionable]; *Mendez v. Rancho Valencia Resort Partners, LLC* (2016) 3 Cal.App.5th 248, 261-264 [substantial and unreasonable interference with use and enjoyment of premises].) For the reasons set forth with regard to Issue 1, the Court cannot determine as a matter of law based on the conflicting evidence that the deficiencies in Plaintiff's Unit, which continued for over two months after the Randhawa Defendants acquired the Property, did not result in a "substantial" interference with her use and enjoyment of her Unit. The mold noted in the bathroom, issues with bathroom plumbing fixtures, and the broken flooring between the living room and kitchen affecting Plaintiff's access to the kitchen, including the refrigerator near the area of the broken flooring, which was a tripping hazard unremedied for two months after the Randhawas acquired the Property, may collectively be found by a trier of fact to have substantially and unreasonably interfered with Plaintiff's use and enjoyment of her Unit. As the Court concluded in *Mendez, supra,* "As is apparent from the above standards, the elements of substantial damage and unreasonableness necessary to making out a claim of private nuisance <u>are questions of fact that are determined by considering all of the circumstances of the case.</u> [Citation omitted.]" (*Mendez, supra,* 3 Cal. App. 5th 248, 263-264.)

As to the tenth cause of action for violation of the Unfair Competition Law, Business & Professions Code § 17200, *et seq.* ("UCL"), moving defendants contend that there is no evidence of any "unlawful, unfair, or fraudulent" business practices engaged in by moving defendants. "The UCL embraces 'anything that can properly be called a business practice and that at the same time is forbidden by law.' [Citations and internal quotations omitted.] . . . In addition, under Section 17200, 'a practice may be deemed unfair even if not specifically proscribed by some other law.' [Citation omitted.]" (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1143 [quoting *Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.* (1999) 20 Cal.4th 163, 180].) A claim for unfair business practices under the UCL by its terms may be asserted for practices that are either "unfair," "unlawful," or "fraudulent." (*Prakashpalan v. Engstrom, Lipscomb & Lack* (2014) 223 Cal.App.4th 1105, 1133 [statute written in the disjunctive].) For the reasons set forth above, Plaintiff has raised triable issues as to whether there were violations of the Civil Code and Health & Safety Code at her Unit and whether the defects were remedied within a reasonable time.

F. Issues 6 and 7

Moving defendants frame Issues 6 and 7, targeting the 6th cause of action for premises liability and seventh cause of action for negligence, as being without merit because there was no dangerous condition on the premises (Issue 6) and defendants did not have knowledge of any dangerous condition in her Unit (Issue 7).

1. Legal Framework

The elements of both negligence and premises liability are "a legal duty of care, breach of that duty, and proximate cause resulting in injury." (*Kesner v. Superior Court* (2016) 1 Cal.5th 1132, 1158.) Generally, the breach and causation elements of these claims are "fact-specific issues for the trier of fact," while "the existence and scope of a duty are questions of law." (*Staats v. Vintner's Golf Club, LLC* (2018) 25 Cal. App. 5th 826, 832.) In *Ortega v. Kmart Corp.* (2001) 26 Cal.4th 1200 ("*Ortega*"), the Court summarized what a plaintiff must prove to prevail on a claim for negligence and premises liability:

> In order to establish liability on a negligence theory, a plaintiff must prove duty, breach, causation and damages. [Citations omitted.] A plaintiff meets the causation element by showing that (1) the defendant's breach of its duty to exercise ordinary care was a substantial factor in bringing about plaintiff's harm, and (2) there is no rule of law relieving the defendant of liability. [Citation omitted.] **These are factual questions for the jury to decide**, except in cases in which the facts as to causation are undisputed. [Citation omitted.]
>
> Because the owner is not the insurer of the visitor's personal safety [citation omitted], **the owner's actual or constructive knowledge of the dangerous condition is a key to establishing its liability**. **Although the owner's lack of knowledge is not a defense**, "'[t]o impose liability for injuries suffered by

> an invitee due to [a] defective condition of the premises, the owner or occupier "must have either actual or constructive knowledge of the dangerous condition or have been able by the exercise of ordinary care to discover the condition, **which if known to him, he should realize as involving an unreasonable risk to invitees on his premises** . . . .' [Citation omitted.]"

(*Ortega, supra,* 26 Cal.4th at 1205 [emphasis added].)

Moving parties cite *Resolution Trust Corp. v. Rossmoor Corp.* (1995) 34 Cal.App.4th 93 for the proposition that conditions that can be avoided are not dangerous and do not impose a duty on a landlord to correct the condition. (MPA ISO Mot. p. 24, ll. 23-26.) In that case, the plaintiff sued the owner of a neighboring parcel for nuisance, trespass, and negligence based on contamination from a gas station operating on the defendant's parcel. (*Id*. at 98–99.) The Court of Appeal agreed the fuel leaks constituted a nuisance and held "[t]he defendant [landlord] must be aware of the specific dangerous condition and be able to do something about it before liability will attach." (*Id.* at 102.) *Rossmoor* holds that a landlord can be liable for a nuisance created by the tenant if there is a showing of negligence by the landlord in not discovering the nuisance. (*Id.* at 100-101.) The case has no application to the facts here where the tenant herself was injured by a dangerous condition on the landlord's property of which a trier of fact could conclude the landlord had actual or constructive notice based on the evidence.

The moving parties also argue that the condition of the flooring over which Plaintiff tripped was open and obvious such that the landlord owed no duty to warn Plaintiff of the danger <u>or to remedy the danger</u>, citing *Krongos v. Pacific Gas & Electric Co.* (1992) 7 Cal.App.4th 387, 393. The Court's complete statement of the law does not support moving parties' contention that the landlord had no duty to repair the dangerous flooring in Plaintiff's Unit. The Court explained, "Generally, if a danger is so obvious that a person could reasonably be expected to see it, the condition itself serves as a warning, and the landowner is under no further duty to remedy or warn of the condition.

[Citation omitted.] However, this is not true in all cases. 'It is foreseeable that even an obvious danger may cause injury, if the practical necessity of encountering the danger, when weighed against the apparent risk involved, is such that under the circumstances, a person might choose to encounter the danger. The foreseeability of injury, in turn, when considered along with various other policy considerations such as the extent of the burden to the defendant and consequences to the community of imposing a duty to remedy such danger [citation] may lead to the legal conclusion that the defendant' owed a duty of due care to the person injured. [Citation omitted.]" (*Id.* at 393 [emphasis added].)

2. There Are Triable Issues as to Issues 6 and 7

The Court rejects the proposition that because the condition of the broken linoleum at the kitchen threshold was obvious and known, the landlord had no duty to repair the flooring. The evidence shows the broken flooring was at the threshold of the kitchen, requiring a person entering and exiting the kitchen to encounter the condition, and that the danger was a "tripping hazard" as characterized by the City report. Plaintiff alleges she tripped and fell over this broken flooring, a foreseeable injury from the foreseeable risk of tripping that the broken flooring posed. The City report designated the condition a "required" repair under the applicable code such that the landlord had a duty to remedy the condition.

There are clearly triable issues of fact as to whether, at a minimum, the broken kitchen flooring was a dangerous condition in her Unit of which Randhawa was or should have been aware through the Giant Jims Inspection Report, which he received before he purchased the Property, and based on Plaintiff's declaration attesting that she reiterated the problems with the flooring to Randhawa in person on August 23, 2023. This was not an ordinary slip and fall on a well-maintained floor; Plaintiff fell on broken linoleum that the City report specifically stated was a "tripping hazard," a characterization that is supported by the photograph of the broken kitchen flooring in the Giant Jims Inspection Report.

3. Conclusion as to Issues 6 and 7

There are triable issues of material fact precluding the Court from finding as a matter of law that, at a minimum, the broken flooring at the kitchen threshold was a dangerous condition, that defendants had actual or constructive notice of the dangerous condition through the Giant Jims Inspection Report and the City's property inspection report as well as Plaintiff's evidence regarding her informing Randhawa of the flooring defect in August 2023 after the sale closed, and that the landlord failed to exercise due care to repair the flooring within a reasonable time after such notice. The motion for summary adjudication of Issues 6 and 7 is **denied.**

G. Issues 8 and 9

Both of these issues challenge the merits of the eighth cause of action for violation of Civil Code § 1946.2, the just cause eviction statute. Among other things, Plaintiff alleges in her complaint that defendants retaliated against her for exercising her tenant rights by "wrongfully terminating" her tenancy, "unlawfully influencing or attempting to influence" Plaintiff to leave, and not notifying her of her rights. (Compl. ¶¶ 75-77.)

1. Legal Background

Civil Code § 1946.2, effective January 1, 2024, provides for "just cause" eviction of a tenant who has occupied a residential property for at least 12 months. (Civ. Code § 1946.2(a).) As relevant here, the statute defines "at fault just cause" as including a default in the payment of rent, a breach of a material term of the lease, or "maintaining, committing, or permitting the maintenance or commission of a nuisance as described in Section 1161 of the Code of Civil Procedure." (Civ. Code § 1946.2(b)(1)(A), (B), and (C).) Code of Civil Procedure § 1161 subpart 4 provides that a tenant "maintaining, committing, or permitting the maintenance or commission of a nuisance upon the demised premises or using the premises for an unlawful purpose, thereby terminates the lease."

Subsection (c) of the statute states, "Before an owner of residential real property issues a notice to terminate a tenancy for just cause that is a curable lease violation, the owner shall first give notice of the violation to the tenant with an opportunity to cure the violation pursuant to paragraph (3) of Section 1161 of the Code of Civil Procedure. If the violation is not cured within the time period set forth in the notice, a three-day notice to quit without an opportunity to cure may thereafter be served to terminate the tenancy." (Civ. Code § 1946.2(c).) The statute further creates civil liability to the tenant for damages and potentially other relief if an owner "attempts to recover possession of a rental unit in material violation of this section." (Civ. Code § 1946.2(h).)

2. Whether There Are Triable Issues of Material Fact as to Issues 8 and 9

There is no dispute that Plaintiff's tenancy has not been terminated, and Plaintiff has not raised any genuine dispute that no unlawful detainer proceeding has been commenced against her to evict her from her Unit. (UMFs 31, 32; Pl. Resp. to UMFs 31, 32.) The Court has found that there are genuine factual disputes as to whether Plaintiff failed to pay the required rent (UMFs 26, 28; Pl. Resp. to UMFs 26, 28 [citing Moore Decl. ¶¶ 11, 12, 13]), and the Court finds whether the July 6, 2024 and December 12, 2024 three-day notices properly stated the amount of unpaid rent is in dispute, given defendants' admission that the rent was increased by too much in May 2023, resulting in a rent increase calculation that meant the rent amount was also excessive in 2024, which the landlord did not discover until 2025. (Schlatter Decl. ¶ 81.) The Court has also found there are genuine factual disputes as to whether at least the February 7, 2024 and March 3, 2025 notices to perform or quit stated a valid just cause basis for the notices, as Plaintiff disputes the allegations of smoking in those notices. (UMFs 29, 30; Pl. Resp. to UMFs 29, 30; Pl. AFs 41, 42.)

The issue presented is whether the landlord's three-day notices to pay or quit and three-day notices to perform or quit constitute "attempts" by the landlord "to recover possession" of Plaintiff's Unit without just cause. Defendants appear to contend that the notices to quit do not constitute attempts to recover possession of the premises, and only commencement of eviction proceedings may result in a violation of the statute. The position is contrary to the terms of the notices themselves which claim various breaches or violations of Plaintiff's obligations as a tenant under her lease and demand that she either pay the rent demanded, cease the violations, or leave. The notices demand Plaintiff turn over possession of the premises to the landlord if she fails to comply with the demands of the owner within the time provided. (Defs. Exhs. 19-24.) The notices are attempts by the owner to recover possession of the premises under Civil Code § 1946.2(h). Whether they were issued with a valid "just cause" basis is genuinely disputed.

3. No Liability of Schlatter Defendants as Nonowners

By its terms, Civil Code § 1946.2(a) applies to restrictions on "an owner of residential real property." The Schlatter Defendants are agents of the owners, but not the owners. On the undisputed facts, the Schlatter Defendants are not liable under the statute, as Plaintiff has conceded.

4. Conclusion as to Issues 8 and 9

The notices issued by the landlord for payment of rent or compliance with the lease or for the tenant to "quit" the premises are attempts by the owner to recover possession of the premises under Civil Code § 1946.2(h). Whether they were issued with a valid "just cause" basis is genuinely disputed by the evidence cited above, precluding summary adjudication of these causes of action as to the Randhawa Defendants. The Schlatter Defendants, as nonowners and mere agents of the owners, are entitled to summary adjudication of the eighth cause of action in their favor as a matter of law. The motion for summary adjudication of the eighth cause of action against the Randhawa Defendants is **denied** and is **granted** as to the Schlatter Defendants.

H. Issue 10

Issue 10 addresses the ninth cause of action and whether there were violations of Civil Code § 1947.12 regarding the amount of Plaintiff's rent increases. Under that statute, rent increases are limited to the lesser of 10% of the rent in effect before the increase or 5% plus "the percentage change in the cost of living" during the 12 months before the effective date of the increase. (Civ. Code § 1947.12(a).) The statute prohibits "an owner of residential real property" from making an annual rent increase in excess of the amount allowed under the statute. (*Id.*) The applicable cost of living is defined in Civil Code § 1947.12(g) as the Consumer Price Index for All Urban Consumers ("CPI-U") for various metropolitan areas published by the United States Bureau of Labor Statistics, specifically the "CPI-U for the San Francisco-Oakland-Hayward metropolitan area covering the Counties of Alameda, Contra Costa, Marin, San Francisco, and San Mateo." (Civ. Code § 1947.12(g)(1)(A)(iv).)

1. Triable Issues Regarding Violation of the Rent Increase Statute

The Court concludes admissions by defendants that the rent increase that went into effect in May 2023 was excessive under the statute, that defendants continued to require payment of the erroneous rent amount after the Randhawas became owners of the Property in August 2023, that the rent increase effective in May 2024 was calculated based on the prior (excessive) rent in effect from May 2023 through April 2024, and the property manager's conclusion later in 2024 that the rent increase effective in May 2023 was excessive all raise triable issues as to whether there was a violation of Civil Code § 1947.12. (Schlatter Decl. ¶¶ 67-73, 76-83.) The Court has sustained evidentiary objections to portions of the Schlatter Declaration in which she addresses her calculation of the rent increase in May 2024 but fails to provide evidence or other foundation for her unsupported statement of what the applicable CPI-U was (*see* Schlatter Decl. ¶¶ 67-73), in contrast to her testimony regarding the 2025 rent increase calculation (*see* Schlatter Decl. ¶¶ 86-88). Plaintiff has raised disputes as to UMFs 34-36, and the evidence on which UMFs 42 and 43 regarding the CPI-U increases are based is subject to valid evidentiary objections in part as set forth below.

2. No Liability for Schlatter Defendants as Nonowners

Civil Code § 1946.12 by its terms prohibits an owner of residential real property from making an excessive rent increase. The Schlatter Defendants are not owners, and they are not liable under the statute, as conceded by Plaintiff.

3. Conclusion as to Issue 10

For the reasons stated above, the triable issues and inadequate evidentiary support for the UMFs supporting Issue 10 preclude summary adjudication of the ninth cause of action against the Randhawa Defendants. The record shows triable issues of fact regarding the excess rent calculation for May 2023-May 2024, and May 2024 until December 2024 when the rent rate was recalculated. Summary adjudication of the ninth cause of action against the Randhawa Defendants is therefore **denied**. The Court **grants** summary adjudication of the ninth cause of action in favor of the Schlatter Defendants as they are not liable on this cause of action as a matter of law based on the undisputed facts.

I. Issues 11 and 12

Plaintiff's complaint cites Civil Code §§ 1941.1 and 1942.5 and alleges defendants violated those statutes by failing and refusing to repair the defective conditions. § 1941.1 was addressed above in connection with Issues 1 and 2. Civil Code § 1942.5 provides in pertinent part: "If the lessor retaliates against the lessee because of the exercise by the lessee of the lessee’s rights under this chapter or because of the lessee’s complaint to an appropriate agency as to tenantability of a dwelling, and if the lessee of a dwelling is not in default as to the payment of rent, the lessor may not recover possession of a dwelling in any action or proceeding, cause the lessee to quit involuntarily, increase the rent, or decrease any services within 180 days . . . ." (Civ. Code § 1942.5(a).)

1. Triable Issues Exist as to Retaliation Based on the Notices to Quit and Alleged Unremedied Habitability Defects

As detailed above, the Court has concluded Plaintiff has raised triable issues with respect to the unremedied habitability defects which Plaintiff asserts in her declaration persisted from August 23, 2023 when the Randhawa Defendants purchased the Property through later than June 4, 2024 when she raised complaints again in her email of that date. The Court has concluded there are triable issues as to whether Plaintiff was in default in the timeliness of her rent payments in the months moving parties contend Plaintiff was late, except for September 2023 and October 2023, and that Plaintiff by her declaration has disputed that she violated the nonsmoking policy and pet policy, with her under oath denial that she ever smoked marijuana at her Unit or failed to clean up after her dog.

2 Schlatter Defendants Not Lessors

Civil Code §§ 1941.1 and 1942.5 prohibit certain conduct by a lessor. The undisputed facts show that the Schlatter Defendants are not the lessors under Plaintiff's lease and were acting merely as property management agents for the owners the Randhawa Defendants. The Schlatter Defendants are not liable for violations of these statutes as a matter of law, as Plaintiff has conceded.

3. **Conclusion as to Issues 11 and 12**

For the reasons stated above, the triable issues preclude summary adjudication of the eleventh cause of action in favor of the Randhawa Defendants. Summary adjudication of the eleventh cause of action as to the Randhawa Defendants is therefore **denied**. The Schlatter Defendants are not lessors under the statutes on which the eleventh cause of action is based, and summary adjudication of the eleventh cause of action against the Schlatter Defendants is **granted**.

Evidentiary Objections

Moving Defendants and Plaintiff have filed evidentiary objections. The Court rules on those objections the Court finds are material to its ruling. (Code Civ. Proc. § 437c(q).)

A. Defs. Obj. to Pinza Decl.

Obj. Nos. 1-3 - **Overruled**. Paragraph 1 and the preceding sentence in paragraph 3 states the company of which declarant is the Managing Broker turned over all documents as the company representing the seller of the Property.

Obj. Nos. 4-9 – **Sustained.** There is no evidence that Pinza was involved in any activity by Megem, LLC in turning over its records to Randhawa, or foundation for Pinza's knowledge of what records Megem, LLC in fact turned over, or how Pinza had knowledge of any actions taken by Randhawa regarding workers at the Property post-sale.

B. Defs. Obj. to Moore Decl.

Obj. No. 10 – **Overruled.** Plaintiff is submitting her own declaration attesting to what she informed Randhawa about on August 23, 2023. The foundation is laid by the fact Plaintiff is the tenant at the Unit and makes her statements from her personal knowledge.

Obj. Nos. 11, 12, 13, 15 – **Overruled.** Plaintiff provides a time frame for her oral complaints to Randhawa. Objections to statements in paragraph 9 and subsequent paragraph objected to go to the weight of the evidence, not its admissibility.

Obj. No. 14 – **Sustained.**

Obj. No. 16 – **Sustained**. Relevance. *See, e.g.,* Defs. Exh. 15 [Lease ¶¶ 46 [Waiver of Breach]. 48 [Entire Agreement].)

C. Pl. Obj. to Randhawa Decl.

Obj. Nos. 1, 3, 4, 5, 6, 7, 8, 12 – **Overruled.**

Obj. No. 2 – **Sustained in part** to the extent the statement refers to whether Randhawa's wife or the property manager were notified.

Obj. No. 9 – **Sustained** only as to "which confirmed THC in Plaintiff's unit**."** (See also Ruling on Pl. Obj. to Defs. Exh. 27 below.)

Obj. Nos. 10, 11, 13 – **Sustained.**

D. Pl. Obj. to Schlatter Decl.

Obj. Nos. 14, 15, 16, 17 – **Overruled.** That Plaintiff as of April 25, 2025 may have been considered "up to date" on her rent payments as of the deposition date, and that the landlord may have waived, or deemed uncollectible, certain rent payments due in 2024 at the time Schlatter testified in April 2025 does not contradict, directly or otherwise, her statement that Plaintiff failed to make her rental payment that came due on September 1, 2023, October 1, 2023, and November 1, 2023 and was delinquent in her rent payments on November 20, 2023.

Obj. No. 18 – **Overruled**. That Plaintiff as of April 25, 2025 may have been considered "up to date" on her rent payments as of the deposition date, and that the landlord may have waived, or deemed uncollectible, certain rent payments due in 2024 at the time Schlatter testified in April 2025 does not contradict, directly or otherwise, her statement that Plaintiff failed to "timely pay in full when it came due on the first of the month" her rent for the months specified, including in April 2025. The statement clearly could not contradict Schlatter's statement that she failed to pay her rent in full when it came due on the first of the month for months post-dating April 25, 2025, including June 2025, October 2025, December 2025, and January 2026.

Obj. Nos. 19, 20, 23, 26, 27, 28, 29, 30, 33 – **Overruled**.

Obj. Nos. 21, 22 – **Sustained in part**, to the extent offered for the truth of the fact marijuana smoke was emanating from Plaintiff's apartment or that Plaintiff was using marijuana but **overruled** to the extent offered only to state that tenants complained to Schlatter alleging marijuana smoke was coming from Plaintiff's Unit or Plaintiff was using marijuana.

Obj. No. 24 – **Sustained.**

Obj. No. 25 – **Sustained in part** to the extent offered for the truth of the content of the police report but **overruled** as to the fact Plaintiff's neighbor gave Schlatter a copy of a February 20, 2025 police report of the City of San Pablo Police Department reporting a smell of marijuana, which provides foundation and explanation for paragraph 44 regarding Schlatter's issuance of a three-day notice to cure or quit.

Obj. Nos. 31, 32 – **Sustained** for lack of foundation as to the applicable CPI and CPI data.

Obj. No. 34 – **Overruled.** That Plaintiff as of <u>April 25, 2025</u> may have been considered "up to date" on her rent payments as of the deposition date, and that the landlord may have later waived, or deemed uncollectible, certain rent payments due in <u>2024</u> at the time Schlatter testified in <u>April 2025</u> does not contradict, directly or otherwise, her statement that Plaintiff had an outstanding unpaid rent balance as of December 2, 2024.

Obj. No. 35 – **Sustained.** The declarant's statement as to the unpaid outstanding balance of $2,017.70 as of January 30, 2026 when the Schlatter Declaration was made appears to be taken from the last line of the Rent Ledger, Exhibit 18, which shows a balance of $1,748.58 after application of Plaintiff's April 2025 rent payment to the then-outstanding running balance. Schlatter's deposition testimony that Plaintiff was "up to date in terms of her rent payments" as of April 25, 2025 when her deposition was conducted and that the defendants can "no longer collect" unpaid rent payments or the delinquent balance from 2024 does contradict the ending balance which was apparently generated based on a balance owed as of April 2025 of $1,748.58, contrary to the testimony that Plaintiff was "up to date" as of April 2025.

E. <u>Pl. Obj. to Martinez Decl.</u>

Obj. No. 36 – **Overruled.**

Obj. No. 37 – **Sustained.** Relevance.

F. Pl. Obj. to Giant Jims Inspection Report

Obj. No. 38 – **Overruled.** Hicks appeared at the deposition as the PMQ of the company that authored the report. Authenticity and admissibility of the report is adequately established, including based on Plaintiff's extensive reliance on the content of the report to oppose the motion. (*See* Evid. Code. §§ 1400, 1410, 1271; *Hooked Media Group v. Apple, Inc.* (2020) 55 Cal.App.5th 323, 337-338, rev. den. by Hooked Media Group v. Apple Inc. (Dec. 30, 2020) 2020 Cal. LEXIS 8983 ["As with any other fact, the authenticity of a document can be established by circumstantial evidence."].)

G. Pl. Obj. to Defs. Exh. 18 (Rent Ledger)

Obj. No. 39 – **Sustained in part** as to the ending balance but otherwise **overruled**. Business records exception. (Evid. Code § 1271.) Foundation is laid in Schlatter's Declaration, and the information in the ledger is supported by other evidence in the Schlatter Declaration. (See Schlatter Decl. ¶¶ 8, 9, 10-31.) Testimony by Schlatter at her April 25, 2025 deposition that the owners or property manager may have waived collection of prior rent or that they believed they could not legally collect rent outstanding for 2023 and 2024 does not make the records of the timing and amount of rent payments recorded in the ledger irrelevant, untrue or unreliable, nor does Schlatter's deposition testimony directly contradict the timing and amount of payments in the ledger, except that the ending balance is contradicted as it is based on a balance due as of the end of 2024 that Schlatter in effect testified was no longer considered owing. Plaintiff's objections go the weight of the evidence of the ledger, not its admissibility.

H. Pl. Obj. to Defs. Exh. 27 (THC Report)

Obj. No. 40 – **Sustained**.

5. 9:00 AM CASE NUMBER: C24-00394
CASE NAME: THERESA DEAN VS. RIVER RANCH MOBILE HOME PARK LLC,
***HEARING ON MOTION IN RE: TRANSFER MATTER TO COMPLEX LITIGATION DEPARTMENT**
FILED BY: DEAN, THERESA
****TENTATIVE RULING:****

The unopposed motion to designate this matter as Complex Litigation is granted.

The Court designates this case as complex pursuant to Rule 3.400 et seq. of the California Rules of Court. It shall remain assigned to Department 32 for all purposes. Any outstanding fees for Complex Litigation shall be paid to the Contra Costa Superior Court within ten days of service of notice of entry of this order.

6. 9:00 AM CASE NUMBER: C24-01029
CASE NAME: JOHN DOE VS. ANTIOCH UNIFIED SCHOOL DISTRICT
***HEARING ON MINOR'S COMPROMISE**
FILED BY: DOE, JOHN
****TENTATIVE RULING:****

The Petition for Approval of Minor’s Compromise is granted subject to Plaintiff’s counsel submitting a copy of the attorney fee agreement and that agreement being consistent with fees stated in the Petition.

Plaintiff’s counsel is ordered to appear and produce a copy of the fee agreement for the court’s inspection at the hearing.

In addition, the Proposed Order submitted /lodged with the Court is missing information in Paragraphs 8 (a) and 8(b). If the Petition is approved after inspection of the attorney fee agreement, Plaintiff’s counsel must submit another Proposed Order with all necessary information.

7. 9:00 AM CASE NUMBER: C24-03078
CASE NAME: THALBIR OLI VS. GOVIND SHAHI
HEARING ON DEMURRER TO: 1ST AMENDED CROSS-COMPLAINT
FILED BY: OLI, THALBIR
TENTATIVE RULING:
Introduction

Before the Court is Cross-Defendants THALBIR OLI, and SABRINA HAN's Demurrer to all causes of action in Cross-Complainants First Amended Cross Complaint filed on January 5, 2026. Cross-Complainant SUSHOVAN SHAHI's Cross Complaint contains four causes of action: 1) Breah of Oral Agreement; 2) Breach of Written Agreement; Fraudulent Inducement; and 4) Intentional Interference with Contractual Relations.

For the following reasons, **Cross-Defendants' Demurrer to the FACC is overruled in its entirety.**

Meet and Confer Requirement

Cross-Defendants satisfied their meet and confer requirement regarding their Demurrer in detailing their meet and confer efforts with Plaintiff's counsel in the Declaration of Narayan P. Bhandari. On January 28, through February 4, 2026, the parties exchanged meet and confer emails and were unable to connect by telephone. (Bhandari Decl. at ¶¶18-28.)

Statement of Facts

The facts as alleged in the First Amended Cross Complaint "FACC" are as follows.

OM NAMAHA LLC is a California limited liability company which was created on April 3, 2023, with its principal address located at 3596 Ponderosa Trail, Pinole, CA 94564. The business at the center of this dispute, Jug Shop Liquors (hereinafter referred to as the "Jug Shop"), is wholly owned by OM NAMAHA LLC (hereinafter referred to as "OM"). (FACC ¶ 5.) At all relevant times pertinent to this litigation, the owners of OM were SUSHOVAN SHAHI (hereinafter referred to as "Sushovan") and SABRINA HAN (hereinafter referred to as "Sabrina"). The principal asset owned by Om Namaha LLC is the Jug Shop, a liquor store formally located at 1630 Contra Costa Blvd Ste E in Pleasant Hill, CA 94523. For all intents and purposes, OM is a holding company with the sole purpose to retain and manage the Jug Shop. (FACC ¶ 6.)

OM's Operating Agreement (hereinafter referred to as "Operating Agreement") was drafted and finally executed on or around July 21, 2023. The Operating Agreement memorialized Sabrina's and Sushovan's percentage of ownership in OM: Sabrina owned 49% and Sushovan owned 51%. (FACC ¶ 7.) As set forth in the Operating Agreement, Sabrina and Sushovan agreed to and represented to each other that each of them would provide their initial contribution of working capital necessary to open Jug Shop Liquors for business. The capital contribution mirrored each other's ownership percentage of OM; therefore, 51% of the initial contribution was to be from Sushovan, while 49% of the total initial capitalization was to come from Sabrina. (FACC ¶ 8.)

On or around August 14, 2023, the escrow process for OM to purchase the Jug Shop was completed. The overall purchase price for the Jug Shop was $346,051.18. Pursuant to the Operating Agreement, Sabrina was obligated to contribute $169,565.08, (representing her 49% of the total purchase price of $346,051.18). However, Sabrina only contributed $153,000.00 toward the purchase of the Jug Shop–falling $16,565.08 short of her obligated financial contribution. (FACC ¶ 9.) Sushovan contributed his agreed upon amount of 51% of the purchase price. (FACC ¶ 10.) Sushovan covered Sabrina's shortfall. Sabrina expressly and impliedly represented to Sushovan that she would fully repay him the $16,565.08 within a few weeks as she was expecting another tranche of money for the Jug Shop purchase and ramp up. Sushovan agreed and paid, out of his funds, the additional $16,565.08 to OM to close the transaction. (FACC ¶ 11.) As of the date of the filing of this First Amended Complaint, this balance remains unpaid. Sabrina's ongoing and willful failure to provide the agreed upon capital in exchange for her membership interest is an express breach of the agreement wrought between her and Sushovan. (FACC ¶ 12.)

Sabrina has refused to reimburse Sushovan for her share of the additional initial costs associated with including $25,531.31 for the business license, alcohol license, health permits, dba certifications/ inventory purchases, escrow, tobacco license, application fees, other necessary supplies, and the initial deposit in the amount of $11,851.62 to lease the Jug Shop's physical location all of which was covered by Sushovan. (FACC ¶¶ 13-14.) The Jug Shop opened for business on August 14, 2023. (FACC ¶ 15.)

It soon became a regular pattern that Sabrina took little to no interest in providing any support toward the success or daily operation of the Jug Shop. Sabrina unilaterally delegated her boyfriend Thalbir Oli (hereinafter referred to as “Oli”) to handle her obligations as manager of OM. (FACC ¶ 16.) Sabrina represented that Oli had substantial experience in owning liquor stores and that he had the qualifications, expertise, and willingness to contribute to the operation of the Jug Shop. Sabrina further represented to Sushovan that Oli was going to be present at the Jug Shop at least five days a week then leaving to tend to Oli’s other liquor store in Daly City, California. (FACC ¶ 17.) Despite Sabrina’s representations that her representative Oli would manage the Jug Shop at least five days a week, Oli failed to be present to perform managerial obligations much of the time – which later led to Oli neglecting to be present at the liquor store at all. (FACC ¶ 18.)

Despite awareness of Oli’s neglect of the Jug Shop, Sabrina made no effort to relieve Oli of his position, nor did she step in to make any meaningful contribution to the business. Further necessary capital contributions were made by Sushovan to ensure the business could succeed. For 2023, the additional capital contributions made by Sushovan amounted to $50,504.62 (not including Sabrina’s initial shortage of $16,565.08). (FACC ¶ 19.) Sabrina had full knowledge that Sushovan was forced to make these additional capital contributions and Sabrina was fully aware she was benefitting financially from these investments as a member of OM. Instead of providing her obligated contributions, Sabrina instead continued to neglect the company. (FACC ¶ 20.) Upon information and belief, Sabrina never had an intention of devoting time and resources toward the success of OM. Further, upon information and belief Sabrina conspired with Oli and enabled Oli to circumvent the legal requirements surrounding ownership of a liquor store. At this point early in the operation of the Jug Shop, Oli was essentially acting as a de facto liquor store owner and reaping the benefits of such status while side-stepping all legal and procedural protocols that are set in place to protect the public consumer and the company itself. (FACC ¶ 21.)

Defendant Oli was eventually offered a membership interest in OM upon ability to pay a pre-determined capital infusion and upon qualifying for the ABC licensing requirements for an additional member. Upon information and belief, Oli was unable to acquire the necessary loan to provide an initial capital contribution to become a bona fide owner of OM. Upon information and belief, there was speculation of moral turpitude issues that would prevent Oli’s eligibility to qualify for an ABC liquor license which was a necessary component for ownership of the liquor license at the core of the Jug Shop’s operations.

(FACC ¶ 22.) As a result, Sushovan was intentionally misled by Sabrina into entering a business partnership with her when Sabrina never intended to participate in any fashion in the Jug Shop. The Jug Shop was merely a façade for Defendant Oli to illegally control and to retain profits from owning a liquor store through his relationship with Sabrina who acted as a front for his bad faith operation of the Jug Shop. Once Oli was confronted with these concerns, Oli began to cease participation in operating the Jug Shop. Sabrina made no attempt to remedy the situation or the absence in her promised and delegated management of the store. (FACC ¶ 24.)

Due to Oli and Sabrina's indifference toward the wellbeing of the business, Sushovan was forced to solely handle the operations of OM /Jug Shop as well as incur significant personal financial losses to keep the business afloat. (FACC ¶ 25.) Sushovan continued to pay all necessary Jug Shop expenses and costs in full without any contribution from Sabrina. The failure to support her end of the bargain led Sushovan to make an offer to buy Sabrina out of OM entirely. (FACC ¶ 26.)

After negotiations, upon information and belief, Sabrina prepared the LLC Membership Interest Transfer Agreement (hereinafter referred to as the "MITA") which was entered by and between the parties on April 29, 2024, thus relinquishing the membership interest to Sushovan. (FACC ¶ 27.) The MITA did not include an explicit purchase price. Rather, the aggregate purchase price was to be determined once the balance sheet and profit and loss statements were completed by an accountant. Although the parties mutually agreed to the provisions outlined in the MITA, Sabrina breached that written agreement by refusing to provide a reasonable purchase price in line with the market value of her ownership interest. To date, Sabrina still has failed to provide a dollar value for her membership interest that is backed by a proper accounting. (FACC ¶ 28.)

Without any support, Sabrina demanded her membership be purchased at $180,000 which far exceeded the reasonable cost of such interest in OM given its recent hardships. (FACC ¶ 29.) Upon information and belief, Sabrina had no reasonable basis to demand this amount in exchange for her interest; this offer was arbitrarily inflated to leverage Sushovan's desperation to save the Jug Shop Liquors from going out of business. Sabrina unreasonably refused to participate or to attend any meeting with Sushovan or Sushovan and the Jug Shop's landlord to try and salvage the business by at least keeping the valuable liquor license inextricably tied to the address of the shop where it had been operated.

(FACC ¶ 31.)

Despite additional material steps taken by Sushovan toward buying out Sabrina pursuant to the MITA agreement, Sabrina deliberately breached the MITA by failing to take any steps toward obtaining a timely and legitimate appraisal/purchase price for her membership interest prior to the MITA's closing date of July 15, 2024, as she had previously promised. (FACC ¶ 34.) That failure by Sabrina meant that the repurchase of Sabrina's percentage of the ownership of OM could not be finalized. Informal negotiations without the benefit of the appraisal failed. (FACC ¶ 35.) When Sushovan did not pay the $180,000 to Sabrina and the robberies and damage to the store occurred, the Jug Shop went out of business despite Sushovan's best attempts to keep it afloat. (FACC ¶ 37.)

Sabrina's and Oli's actions have displayed a malicious and willful intent to intentionally sabotage the business, these actions were oppressive to Sushovan personally, and the malicious actions included numerous fraudulent representations that Sabrina would undertake the required tasks to operate OM /Jug Shop as a managing member of the operations. (FACC ¶ 38.) Sabrina had promised to repay Sushovan the shortfall in the initial Jug Shop purchase capital, and to repay Sushovan her share of the start-up costs that Sushovan had paid. (FACC ¶ 39.) Defendant Oli's actions in concert with Sabrina to facilitate her breaches of contract and willful fiduciary misconduct toward Sushovan were also impermissibly malicious, willful, oppressive and/or fraudulent. (FACC ¶ 40.)

Legal Standard

"The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc*. (2004) 118 Cal.App.4th 1413, 1420.) A complaint "is sufficient if it alleges ultimate rather than evidentiary facts" (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 ("*Doe*")), but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id*. at 1098–1099; *Doe* at 551, fn. 5.) The Court "assume[s] the truth of the allegations in the complaint but do[es] not assume the truth of contentions, deductions, or conclusions of law.” (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Uncertainty is a well-established ground of demurrer. (*Martin v. Bank of San Jose* (Cal. App. 1929) 98 Cal. App. 390.) The objection of uncertainty does not go to failure to allege sufficient facts but to doubt as to what the pleader means by the facts alleged. (*Brea v. McGlashan* (1934) 3 Cal. App. 2d 454.) A special demurrer for uncertainty is not intended to reach the failure to incorporate sufficient facts in the pleading but is directed at the uncertainty existing in the allegations actually made. (*Butler v. Sequeira* (1950) 100 Cal. App. 2d 143.) A Complaint is ambiguous and uncertain where it cannot be ascertained therefrom whether acts complained of were committed by defendants in their individual capacity, or in one of other capacities in which they are alleged to have acted. (*Lapique v. Ruef* (1916) 30 Cal. App. 391.)

Analysis

Use of Deposition Testimony

Cross-Defendants posit they are entitled to use deposition testimony in support of their Demurrer and cite *Joslin* in support of their position. In *Joslin* the Fourth District Court of Appeals reversed the trial court’s decision to sustain the general demurrer. (*Joslin v. H.A.S. Ins. Brokerage* (1986) 184 Cal.App.3d 369, 377.) In order to determine whether a court which has taken judicial notice of a document may take the further step of accepting its truth or adopting a proposed interpretation of its meaning, the Court adopted the approach that "judicial notice of matters upon demurrer will be dispositive only in those instances where there is not or cannot be a factual dispute concerning that which is sought to be judicially noticed." (*Joslin v. H.A.S. Ins. Brokerage* (1986) 184 Cal.App.3d 369, 375, citing *Cruz* v. *County* of Los Angeles (1985) 173 Cal.App.3d 1131, 1134.)

Applying the approach to the facts before us, Court could accept the truth of the facts stated in the deposition only to the extent they were not or could not be disputed. Cross-Complainant disputes the Cross-Defendants assertions that Cross-Complainant lacked knowledge, did not negotiate, did not provide consideration, admitted away his claims, or that other family members controlled OM’s records. Applying the *Joslin* approach, since Cross-Complainant disputes the factual assertions made in the in the deposition testimony proffered by the Cross-Defendants, the Court will not consider the proffered deposition testimony.

First Cause of Action for Breach of Oral Agreement

Failure to Establish Valid Operating Agreement

Cross-Defendants argue that the Cross-Complainant Sushovan cannot establish the elements of contract formation of the OM Operating Agreement between himself and Cross-Defendants. (Motion at p. 6: 18-28.)

First, this argument does not apply because Cross-Complainant correctly points out that the first cause of action is expressly pleaded as a claim for breach of oral agreement to repay initial capital costs against Sabrina Han. (Opposition at p. 5: 15-17.)

Second, this argument fails. Cross-Defendants are arguing that Cross-Complainant cannot establish existence of a valid and enforceable contract because Cross-Complainant himself did not negotiate any Operating Agreement, did not make or receive any offer concerning OM's governance and did not provide any consideration in connection with the alleged agreement. (Motion at p. 6: 11-17.)

Just because Cross-Complainant did not negotiate the Operating Agreement himself does not preclude him from being bound to it or proving its existence. On the contrary, Cross-Complainant is a named party to the received and accepted the offer of the Operating Agreement by signing it. (FACC, Ex. A, section III(B).) Neither of the Parties have challenged the validity of signatures to the Operating Agreement. (FACC, Ex. A, pp. 9-10.) The consideration for the Operating Agreement constitutes of the initial contributions to be made by both Cross-Complainant Sushovan Shahi and Cross-Defendant Sabrina Han and the duties assigned to both members. (FACC, Ex. A, section III(B) and (F).)

Private Oral Agreement Does Not Invoke the Sham Pleading Doctrine

Under the sham pleading doctrine, Plaintiffs are precluded from amending complaints to omit harmful allegations, without explanation, from previous complaints to avoid attacks raised in demurrers or motions for summary judgment. (*Hendy v. Losse* (1991) 54 Cal.3d 723, 742–743 [affirming an order sustaining Defendants' demurrer without leave to amend when the Plaintiff filed an amended complaint omitting harmful allegations from the original unverified complaint]; see also *Colapinto v. County of Riverside* (1991) 230 Cal.App.3d 147, 151 [“If a party files an amended complaint and attempts to avoid the defects of the original complaint by either omitting facts which made the previous complaint defective or by adding facts inconsistent with those of previous pleadings, the Court may take judicial notice of prior pleadings and may disregard any inconsistent allegations.”].)

The sham pleading doctrine cannot be mechanically applied. (*Dones v. Life Insurance Company of North America* (2020) 55 Cal.App.5th 665, 688.) The doctrine is not intended to prevent honest complainants from correcting erroneous allegations or to prevent the correction of ambiguous facts. (*Id*.) Rather, the doctrine must be taken together with its purpose, which is to prevent an amended pleading which is only a sham, when it is apparent that no cause of action can truthfully be stated. (*Id*.)

Cross-Defendants contend that the FACC introduces for the first time a private oral agreement. Cross- Defendants take issue with the new facts pleaded without explanation but do not contend that the new facts are inconsistent with previous pleadings or omitting harmful allegations. (Motion at p. 7: 5-25.)

The Court is not convinced that an example of the sham pleading doctrine has been shown here. In each complaint, Plaintiff alleges that Cross-Defendant Sabrina Han Failed to pay her fair share of the capital contribution for Jug Shop Liquors. (Compare XC ¶14 and FACC ¶ 9.)

<u>Cross-Defendants’ Demurrer as to Plaintiff’s first cause of action for breach of oral agreement is overruled.</u>

Second Cause of Action for Breach of Written Agreement - MITA

Breach of An Express Provision

The LLC MITA provides, “Buyer shall purchase from Seller, and Seller shall sell to Buyer, 100% of Seller's total Interest in the Company (the "Transferred Membership Interest") for the aggregate purchase price of Purchase Price, which is to be determined once Balance Sheet and Profit and Loss Statement are completed by accountant. ("Total Purchase Price").” (FACC, Ex. B, § 1(a).)

The MITA expressly contemplated a sale of Han’s membership interest and a purchase price to be determined through accounting information. (FACC ¶ 53.) The FACC alleges Han failed to proceed with that process and instead demanded $180,000 without accounting support. (FACC ¶ 29.) These allegations amount to a breach of an express provision of the LLC MITA.

Causation, Damages, and Basis for Attorney's Fees

The FACC alleges that Sabrina essentially made it clear that unless she were paid the sum of $180,000.00, she openly stated that she was going to allow OM/Jug Shop Liquors to fall into complete disarray. (FACC ¶ 32.) Coupled with the allegations that Cross-Defendant Sabrina's unreasonable demand for $180,000.00 for her portion of OM, not paying Cross-Complainant back any expenses promised, and ignoring the criminal hardships endured by the store, Cross-Complainant has alleged sufficient facts for causation, and damages. (FACC ¶¶ 31-41, 53-59.)

Please refer to the Motion to Strike Regarding attorney's fees.

Lack of Standing to Enforce Operating Agreement Is Irrelevant for this Cause of Action

Cross-Defendants argument regarding the enforceability of the Operating Agreement as to the second cause of action for breach of written agreement is misplaced because the second cause of action expressly refers to the LLC MITA written agreement. (FACC ¶¶ 53-59.)

<u>Cross-Defendants' Demurrer as to Plaintiff's second cause of action for breach of written agreement is overruled.</u>

Third Cause of Action for Fraudulent Inducement

Promissory fraud is actionable where a defendant makes a promise without intent to perform and intends to induce reliance. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) The elements are (i) misrepresentation, (ii) knowledge of falsity, (iii) intent to induce reliance, (iv) justifiable reliance, and (v) resulting damages. (*Id*.)

Cross-Complainant Bases Allegations of Fraudulent Inducement on the Breach of Oral Contract and Operating Agreement

Cross-Defendants argue that the third cause of action fails because it is premised on alleged rights "spawned from the OM Operating Agreement." (FACC ¶ 61.) A few allegations later the FACC points to Cross-Defendant Sabrina's shortfall of $16,565.08 and failure to repay her share of $50,504.62

which go to the first cause of action for breach of oral agreement. (FACC ¶¶ 63-64.) The lack of contributions by Cross-Defendant Sabrina Han that Cross-Complainant alleges is also covered by the Initial Contribution provision in the Operating Agreement. (FACC, Ex. A, section III(B).) Cross-Complainant bases the fraudulent inducement cause of action on both the Operating Agreement and the Breach of Oral Agreement and Cross-Complainant has standing to allege on the basis of both agreements.

Particularity and Justifiable Reliance

Cross-Defendants argue that The FACC does not plead who made any specific representation, when the alleged statements were made, where they were made, how they were communicated, or what exact words were allegedly spoken. Instead, the pleading relies on generalized assertions that Ms. Han made “promises” and “continued fraudulent promises” (¶¶ 62–65), without identifying a single actionable misrepresentation with the required particularity. (Motion at p. 12: 2-8.)

The FACC alleges that Cross-Defendant Sabrina Han promised she would pay her share of the costs of $16,565.08 and $50,504.62 incurred by Cross-Complainant but has not done so. (FACC ¶¶63-64.)

Cross-Defendants concede that Cross-Complainant alleges that he relied on Cross-Defendant Sabrina Han’s alleged promises in deciding to enter into the Operating Agreement and to furnish funds. (FACC ¶¶ 63, 67.) Cross-Defendants argue that Cross-Complainant’s sworn testimony establishes that he had no communications with.

First, as explained above, the Court is not considering Cross-Defendants’ proffered deposition testimony for purposes of this demurrer. Second, just because Cross-Complainant and Cross-Defendant Sabrina Han did not negotiate the terms of the Operating Agreement does not mean that the Parties can later rely on an Operating Agreement that both Parties sign and are bound by.

Allegations of Intent, Causation, and Punitive Damages

In considering a demurrer, a court must read the complaint as a whole and accept as true all properly pleaded allegations. (*Chapman v. Skype Inc.* (2013) 220 Cal.App.4th 217, 225.)

Cross Defendants argue that the third cause of action for promissory fraud relies on conclusory allegations for the intent and causation elements as well as the request for punitive damages. (Motion at p. 12: 18-23.)

The FACC alleges on information and belief that Cross-Defendant Sabrina Han intentionally and deliberately never had any intention of repaying the money owed to Cross Complainant nor did she intend to live up to her promise of responsibly managing the Jug Shop, and Cross-Complainant believes Cross-Defendant Sabrina Han was part of a ruse to allow her to have ownership in a liquor store with her co-defendant Oli (FACC ¶¶ 65.)

The FACC alleges multiple facts about Cross-Defendant Sabrina Han showing little to no interest to supporting the Jug Shop business and even hostility towards the business. (FACC ¶¶ 16, 21, 25, 29, 32, 33, 36, 38-41.) In light of the facts mentioned above, the FACC sufficiently alleges facts that support allegation that Cross-Defendant Sabrina Han never intended to perform those promises and used them to induce Cross-Complainant to enter the business relationship, fund the purchase, cover Cross-Defendant Sabrina Han's shortfall, and continue making expenditures to protect the business, caused damage, and acted maliciously, willfully, and/or oppressively. (FACC ¶¶ 65-68.)

<u>Cross-Defendants' Demurrer as to Plaintiff's third cause of action for fraudulent inducement is overruled.</u>

Fourth Cause of Action for Intentional Interference with Contractual Relations

To state a claim for intentional interference with contractual relations, a plaintiff must plead: (1) a valid contract between the plaintiff and a third party; (2) the defendant's actual knowledge of the contract; (3) intentional acts designed to induce a breach or disruption of the contract; (4) actual breach or disruption; and (5) resulting damages. (*Pacific Gas & Electric Co. v. Bear Stearns & Co.* (1990) 50 Cal.3d 1118, 1126.)

Valid Third-Party Contract

As explained earlier, the Operating Agreement is a valid third-party contract because the Operating Agreement is a valid contract between Cross-Complainant and Cross-Defendant Sabrina Han.

Derivative of Operating Agreement

As explained earlier, the Operating Agreement is a valid third-party contract because the Operating Agreement is a valid contract between Cross-

Complainant and Cross-Defendant Sabrina Han. Thus Cross-Complainant has standing to assert claims based on the Operating Agreement that he is a party to. (FACC, Ex. A, section III(B).)

Pleading of Knowledge, Intentional Acts, Causation, and Damages

Cross Defendants argue that the allegation that Mr. Oli "knew of the existence of the Operating Agreement" (FACC ¶ 71) is conclusory and does not allege knowledge of any specific contractual terms. (Motion at p. 14: 20-22.) This allegation can be reasonably inferred by the actions of the Parties since it is undisputed that Cross-Defendant Thalbir Oli managed the Jug Shop five days a week, had substantial experience in the liquor store business, and was offered membership in OM NAMAHA, LLC, the entity that wholly owns and controls the Jug Shop. (FACC ¶¶ 16-24.)

Cross-Defendants further argue that pleading alleges that Cross-Defendant Thalbir Oli merely "facilitated" acts by Cross-Defendant Sabrina Han, without identifying any specific act he took, when it occurred, or how it was designed to induce a breach. (Motion at p. 14: 22-24.) Cross-Defendants provide a case citation for the proposition that conclusory allegations of facilitation or generalized "patterns of misconduct" are insufficient to plead intentional interference. (Motion at p. 14: 24-26; citing *A.F. Arnold & Co. v. Pacific Professional Ins., Inc*. (1972) 27 Cal.App.3d 710, 715.)

First, the *A.F. Arnold* case did not stand for the proposition cited. It did not mention conclusory allegations of facilitation or generalized "patterns of misconduct" but instead discussed the differences between the two torts of interference with prospective economic relationship and intentional interference with contractual relations. (*A.F. Arnold & Co. v. Pacific Professional Ins., Inc*. (1972) 27 Cal.App.3d 710, 715.) Second, the FACC alleges more than passive association: it alleges Oli conspired with Han, acted as a de facto liquor-store operator through Han, facilitated Han's breaches, and intentionally disrupted the business relationship. (FACC ¶¶ 24-25, 38-41.)

<u>Cross-Defendants' Demurrer as to Plaintiff's fourth cause of action for intentional interference with contractual relations is overruled.</u>

<u>Conclusion</u>

For the reasons analyzed above, **<u>Cross-Defendants' Demurrer to the FACC is overruled in its entirety.</u>**

8. 9:00 AM CASE NUMBER: C24-03078
CASE NAME: THALBIR OLI VS. GOVIND SHAHI
***HEARING ON MOTION IN RE: TO STRIKE 1ST AMENDED CROSS COMPLAINT**
FILED BY: OLI, THALBIR
****TENTATIVE RULING:****
Introduction

Cross-Defendants THALBIR OLI, and SABRINA HAN's Motion to Strike. The Motion to Strike relates to (i) conclusory punitive damages allegations not supported by ultimate facts under Civil Code section 3294; (ii) improper requests for attorney's fees and restitution absent any pleaded legal basis; and (iii) improper and prejudicial allegations that misstate or contradict the written agreements attached as exhibits and incorporated into the FACC.

For the following reasons, the **Motion to Strike is granted with leave to amend for the attorney's fees requests and denied as to all other requests**.

Defendants request that the following portions to be stricken:

1. Page 13, ¶ 68: "…were malicious, willful and oppressive… For these intentional malicious acts as set forth in this complaint, Sushovan is entitled to an award of punitive damages…"

2. Page 14–15, ¶ 77: "Oli's conduct… was despicable… performed with fraud, oppression or malice so as to justify an award of exemplary or punitive damages…"

3. Page 15, ¶ 78: "Sushovan suffered damages, including punitive damages…"

4. Prayer for Relief, ¶ 2: "For punitive and exemplary damages…"

5. Prayer for Relief, ¶ 3: "For an order awarding… reasonable attorney's fees…"

6. Prayer for Relief , ¶ 4: "For an order of Restitution…"

7. Page 13–14, ¶ 72: "…willfully fail to provide sufficient capital and managerial contributions, intentional failure to participate in repaying debts to third party creditors… intentional withholding of contributing towards OM's startup expenses…"

8. Page 14, ¶¶ 74-76: "…Oli engaged in… misconduct to improperly pressure and/or facilitate Sabrina to breach her contractual obligations by… failing to participate in repaying debts to third party creditors… withholding of contributing towards OM's startup expenses…"

Meet and Confer Requirement

Cross-Defendants satisfied their meet and confer requirement regarding their Demurrer in detailing their meet and confer efforts with Plaintiff's counsel in the Declaration of Narayan P. Bhandari. On January 28, through February 4, 2026, the parties exchanged meet and confer emails and were unable to connect by telephone. (Bhandari Decl. at ¶¶18-28.)

Legal Standard

A court's determination of a motion to strike is a matter within its discretion. (*Clements v. T.R. Bechtel Co.* (1954) 43 Cal.2d 227, 242.) When ruling on a motion to strike, the court must read the allegations subject to the motion as a whole, with all parts in their context, and assume their truth. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255; *Spielholz v. Superior Court* (2001) 86 Cal.App.4th 1366, 1371.) As with demurrers, the grounds for a motion to strike must appear on the face of the pleading under attack, or from any matter which the court may judicially notice. (Civ. Proc. Code § 437.) A motion to strike may not be based on "extrinsic evidence showing that the allegations are 'false' or 'sham.' Such challenges lie only if these defects appear on the face of the complaint, or from matters judicially noticeable." (Weil & Brown, Cal. Prac. Guide Civ. Pro. Before Trial, ¶7:168 (TRG 2023).) Scandalous allegations can be properly stricken. (*Bartling v. Glendale Adventist Medical Center* (1986) 184 Cal.App.3d 961, 970.) Moreover, matters which are not essential or relevant to any statement or claim for relief should also be stricken. (C.C.P. § 431.10(b)(1), (2).)

The court may strike any irrelevant, false, or improper matter from any pleading. (Code Civ. Proc., § 436(a).) The court may also strike out all or any portion of any pleading not drawn in conformity with the laws of this state. (Code Civ. Proc., § 436(b).) "Irrelevant matter," as the term is used in section 436, means "immaterial allegation." (Code Civ. Proc., § 431.10(c).) Code of Civil Procedure § 431.10(b) defines "immaterial allegation" as, among others, a demand for judgment requesting relief not supported by the allegations of the complaint or cross-complaint.

Analysis

Punitive Damages

Punitive damages may be awarded in cases of "intentional misrepresentation, deceit, or concealment of a material fact." (Civil Code § 3294 (c)(3).) Explained above in the Demurrer analysis, Plaintiffs have adequately pled their claim for promissory fraud to withstand attack on the pleadings. A properly pleaded fraud claim will itself support recovery of punitive damages. No allegations of "malice" or intent to injure plaintiff are required, because fraud is an alternative basis for recovery. (*Stevens v. Sup. Ct*. (St. Francis Med. Ctr.)(1986) 180 Cal.App.3d 605, 610.) Since the fraud claim is sufficiently pleaded, the court denies the motion to strike punitive damages.

Attorney's Fees

In California, "a prevailing party is entitled to attorney's fees only when specifically authorized by statute, contract or law." (*Department of Forestry & Fire Protection v. Le Brock* (2002) 96 Cal.App.4th 1137, 1140.) Here, Cross-Complainant has not pled that he is entitled to attorney's fees via statute, contract, or law. Cross-Defendants' motion to strike is granted with leave to amend as to attorney's fees.

Restitution

Under the law of restitution, an individual may be required to make restitution if he is unjustly enriched at the expense of another. (*Ghirardo v. Antonioli* (1996) 14 Cal.4th 39, 51.) A person is enriched if he receives a benefit at another's expense. (*Id.*) The term "benefit" denotes any form of advantage; thus, a benefit is conferred not only when one adds to the property of another, but also when one saves the other from expense or loss. (*Id.*)

FACC alleges that Cross-Defendants received benefits from Cross-Complainant's payments, business expenditures, and efforts while refusing to contribute or repay as promised. Restitution may be available as an alternative remedy where a defendant has been unjustly enriched. The FACC's restitution request is tied to the same factual allegations underlying the contract, fraud, and interference claims.

Allegations that Contradict Attached Exhibits

Cross-Defendants contend that the FACC repeatedly alleges contractual duties and obligations that are contradicted by the written agreements attached as exhibits and incorporated into the pleading, including assertions that the Operating Agreement imposed obligations requiring Cross-Defendant Sabrina Han to personally: (1) provide sufficient capital and managerial contributions; (2) repay debts to third-party creditors; (3) contribute toward startup expenses; and (4) ensure continued operation of Jug Shop Liquors or prevent eviction.

These allegations are rooted in Section III of the Operating Agreement and the breach of oral agreement. (FACC ¶¶ 42-50; FACC, Ex. A, section III.)

Conclusion

In consideration of the above, **Motion to Strike is granted with leave to amend for the attorney's fees requests and denied as to all other requests. Cross Complainant must file amended pleadings within 15 days of service of notice of entry of this order.**

9. 9:00 AM CASE NUMBER: C26-00015
CASE NAME: ALONDRA SALAZAR CRUZ VS. VOLKSWAGEN GROUP OF AMERICA, INC.,
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: DIRITO BROTHERS WALNUT CREEK, INC.,
TENTATIVE RULING:*

Defendant Dirito Brothers Walnut Creek, Inc., dba Dirito Brothers Walnut Creek ("Defendant") brings the instant demurrer to the fourth cause of action for negligent repair in the complaint of plaintiffs Alondra Salazar Cruz and Jarek Rusich ("Plaintiffs"). Defendant argues that Plaintiffs failed to plead sufficient facts to properly state the fourth cause of action for negligent repair and that the cause of action is also barred by the economic loss rule.

For the reasons discussed below, the Court OVERRULES Defendant's demurrer to Plaintiffs' fourth cause of action for negligent repair.

Meet and Confer

The meet and confer requirement has been satisfied. (Decl. of Lationa Simpson-James, ¶¶ 2-6; CCP, § 430.41, subd. (a)(3)(B).)

Legal Standard for Demurrer

In ruling on a demurrer, a court must treat as true all properly pleaded material facts contained in the complaint, but not contentions, deductions or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) "We also accept as true facts which may be inferred from those expressly alleged." (*Cundiff v. GTE Cal., Inc*. (2002) 101 Cal.App.4th 1395, 1405.) A demurrer challenges "the sufficiency of the allegations in a complaint as a matter of law," not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Id.* at pp. 1404-1405.)

Questions of fact cannot be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc*. (2007) 152 Cal.App.4th 1544, 1556.) Because a demurrer tests only the sufficiency of the complaint, a "court will not consider facts which have not been alleged in the complaint unless they may be reasonably inferred from the matters which have been pled or are proper subjects of judicial notice." (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718, fn.7.) "[A]t the demurrer stage the complaint must be construed in the light most favorable to the plaintiff." (*Wilson v. Houston Funeral Home* (1996) 42 Cal.App.4th 1124, 1138.)

<u>Background – Facts Alleged in Complaint</u>

Plaintiffs' complaint ("Complaint") alleges four claims:

(1) Breach of Express Warranty—Song-Beverly Consumer Warranty Act [against codefendant Volkswagen Group of America, Inc.];

(2) Breach of Implied Warranty—Song-Beverly Consumer Warranty Act [against codefendant Volkswagen Group of America, Inc.];

(3) Violation of Song-Beverly Consumer Warranty Act Section 1793.1(b) [against codefendant Volkswagen Group of America, Inc.]; and

(4) Negligent Repair [against Defendant].

According to the Complaint, Plaintiffs purchased a 2021 Volkswagen Tiguan on June 21, 2021, for $41,463.40. (Complaint, ¶ 9.) Plaintiffs allege that the vehicle was delivered to them with serious defects and nonconformities to warranty and developed other serious defects and nonconformities to warranty including, but not limited to, emission and engine system defects. (*Id*. at ¶ 11.)

Since purchasing the vehicle, Plaintiffs have presented the vehicle to Defendant for repairs on at least three separate occasions. (*Id*. at ¶¶ 12-14.) Each of these visits involved excessive smoke emitting from the exhaust pipe and two of the visits involved excessive consumption of motor oil. (*Ibid*.)

Discussion

Defendant argues that Plaintiffs have not alleged sufficient facts to state a claim for negligent repair against it. (Demurrer, pp. 6-8.) Specifically, Defendant argues that Plaintiffs only alleged legal conclusions as opposed to facts. (*Id*. at p. 8.) "There are also no factual allegations regarding dates that Defendant negligently performed repairs, the types of repairs that were allegedly negligent performed, or the types of damages that were caused by the alleged negligence." (*Id*. at p. 8:10-12.) Defendant also argues that the Court should sustain the demurrer because Plaintiffs do not provide the amount of damages demanded. (*Id*. at p. 8:14-22.) Finally, Defendant asserts that Plaintiffs' claim against it is barred by the economic loss rule because Plaintiffs do not allege any physical injuries and economic loss alone precludes recovery in tort for product liability cases. (Demurrer, pp. 8-9.)

Plaintiffs contend that they properly allege all the essential elements for negligent repair, which they assert can be found at paragraphs 11 to 14 and 62 to 66 of their Complaint. (Opposition, pp. 2-4.) Plaintiffs also argue that the economic loss rule does not apply to the negligent repair claim against Defendant because that rule does not apply to cases involving the negligent performance of services. (*Id*. at pp. 4-8.)

Defendant's reply was due to be filed on Thursday, May 21, 2026. However, as of the date of this writing, Defendant has not yet filed a reply.

<u>Facts Sufficient to State a Claim</u>

"In an action to recover damages resulting from the negligence of the defendant, a general allegation of negligence upon the part of defendant is sufficient. In such a case, the negligence is the ultimate fact to be pleaded, and is not a legal conclusion." (*Kienlen v. Holt* (1930) 106 Cal.App. 135, 139–140 [internal quotations omitted].) "Ordinarily, negligence may be pleaded in general terms and the plaintiff need not specify the precise act or omission alleged to constitute the breach of duty." (*Lopez v. S. Cal. Rapid Transit Dist*. (1985) 40 Cal.3d 780, 795; Accord, *Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747; *Crouse v. Brobeck* (1998) 67 Cal.App.4th 1509, 1532 [to allege negligence claims, complainants need only state what occurred, and generally that the acts were negligently done, but “need not state the specific act or omission constituting negligent conduct.”].)

Plaintiffs’ fourth cause of action alleges:

> 62. Plaintiffs incorporate herein by reference each and every allegation contained in the preceding and succeeding paragraphs as through herein fully restated and re-alleged.
>
> 63. Plaintiffs delivered the Subject Vehicle to Defendant DIRITO BROTHERS WALNUT CREEK for repairs on numerous occasions.
>
> 64. Defendant DIRITO BROTHERS WALNUT CREEK owed a duty to Plaintiffs to use ordinary care and skill in storage, preparation, and repair of the Subject Vehicle in accordance with industry standards.
>
> 65. Defendant DIRITO BROTHERS WALNUT CREEK breached its duty to Plaintiffs to ordinary care and skill by failing to properly store, prepare, and repair of the Subject Vehicle in accordance with industry standards. Defendant DIRITO BROTHERS WALNUT CREEK’s negligent breach of its duties owed to Plaintiffs were a proximate cause of Plaintiffs’ damages.

Because it incorporates all prior allegations, some additional relevant allegations include paragraphs 12 to 14, which allege:

> 12. Plaintiffs first presented the Subject Vehicle for repairs in December 2024, with approximately 33,485 miles on the odometer, and reported excessive smoke emitting from the exhaust pipe. Additionally, an abnormal odor emitted.
>
> 13. In May 2025, with approximately 36,879 miles on the odometer, Plaintiffs presented the Subject Vehicle and reported excessive smoke recurrently emitting from the exhaust pipe. Additionally, the Subject Vehicle excessively

consumed oil.

> 14. Plaintiff presented the Subject Vehicle again in August 2025, with approximately 38,658 miles on the odometer, and reported excessive smoke emitting from the exhaust pipe for the third time. Additionally, the Subject Vehicle repeatedly excessively consumed oil.

To begin, Defendant's argument that Plaintiffs have failed to allege the dates of the repairs and the types of repairs (Demurrer, p. 8:10-12) is not accurate because paragraphs 12 to 14 allege the month and date of all the repairs and also allege the types of repairs. (Complaint, ¶¶ 12-14.) This goes to the heart of Defendant's argument that Plaintiffs have failed to plead sufficient facts to state a claim for negligent repair against them. Further, that negligence claims may be pled generally supports Plaintiffs' view that they have properly pleaded all the essential elements of a negligent repair claim. (*Lopez v. S. Cal. Rapid Transit Dist*. (1985) 40 Cal.3d 780, 795 ["Ordinarily, negligence may be pleaded in general terms and the plaintiff need not specify the precise act or omission alleged to constitute the breach of duty."].)

For example, in *Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747, the Court found the following allegations sufficient to state a claim: "that respondents 'negligently cared for, diagnosed and treated' Ms. Hahn and 'failed to exercise the standard of care and skill ordinarily possessed and reasonably required of physicians' and that as a 'proximate result of such negligence and carelessness' Ms. Hahn was 'injured in her health, strength and activity and has sustained injury to her body and shock and injury to her nervous system and person … .'" Here, when the Plaintiffs' allegations of negligent repair (Complaint, ¶¶ 62-65) are combined with the incorporated general allegations of paragraphs 12 to 14, Plaintiffs have stated a claim for negligent repair against Defendant.

Defendant's argument that Plaintiffs need to state the amount of damages is supported by two cases that relate to the interplay between this rule and default judgments. (Demurrer, p. 8:14-22; *Van Sickle v. Gilbert* (2011) 196 Cal.App.4th 1495, 1520; *Becker v. S.P.V. Construction Co*. (1980) 27 Cal.3d 489, 494.) Defendant cites no authority showing that the failure to specify the dollar amount being sought in a Complaint is grounds for sustaining a demurrer. At the pleading stage, Plaintiffs' allegations are sufficient to support their negligent repair cause of action.

Defendant's demurrer to Plaintiffs' fourth cause of action for negligent repair based on not pleading sufficient facts is OVERRULED.

Economic Loss Rule

Defendant's argument on the economic loss rule is not tailored to the cause of action against them. Defendant argues that "In order to state a cause of action for negligence, the Complaint must allege, among other things, that the Plaintiffs were injured and incurred damages while using the product." (Demurrer, p. 8:24-25.) Defendant also argues, "Where, as here, Plaintiffs' damages consist solely of alleged economic loss, the economic loss doctrine precludes recovery in tort for product liability." (Demurrer, p. 9:5-6.) Defendant then argues that "In actions arising from the sale or purchase of an allegedly defective product, plaintiffs seeking economic losses must be able to demonstrate that either physical damage to property (other than the defective product itself) or personal injury accompanied such losses; if they cannot, then they are precluded from any tort recovery." (Demurrer, p. 9:14-17.) However, the negligent repair claim Plaintiffs assert against Defendant is not a product liability claim. As Plaintiffs point out, their claim against Defendant is a claim arising from Defendant's alleged negligent provision of services. (Opposition, pp. 4:19-6:13.)

The economic loss rule is not necessarily triggered as to every allegedly negligent repair, depending on the particular allegations. (See, e.g., *Rattagan v. Uber Techs., Inc*. (2024) 17 Cal.5th 1, 44 ["The doctrine does not apply if defendant's breach caused physical damage or personal injury beyond the economic losses caused by the contractual breach and defendant violated a duty flowing, not from the contract, but from a separate, legally recognized tort obligation."]; *North American Chemical Co. v. Superior Court* (1997) 59 Cal.App.4th 764, 785, 787 [to avoid the economic-loss rule's bar of damages for tort claims, plaintiffs can be non-contracting parties, contracting parties showing property damage, or contracting parties for services as distinguished from products].) Further, the Economic Loss Rule is not a complete defense, but instead relates to the damage element of a tort cause of action. (*Greystone*

Homes, Inc. v. Midtec, Inc. (2008) 168 Cal.App.4th 1194, 1215.)

The economic loss rule does not bar all cases involving the negligent performance of services. "A contract to perform services gives rise to a duty of care which requires that such services be performed in a competent and reasonable manner." (*North American Chemical Co. v. Superior Court* (1997) 59 Cal.App.4th 764, 774.) "A negligent failure to do so may be both a breach of contract and a tort. [Citation.] In such a hybrid circumstance, the plaintiff is entitled to pursue both legal theories until an occasion for an election of remedies arises. [Citation.]" (*Ibid*.) The economic loss rule does not apply in cases involving the negligent performance of services that results in foreseeable economic loss. (*Id*. at pp. 781-785.) Here, this is what Plaintiffs are alleging against Defendant in their negligent repair cause of action. As discussed above, Plaintiffs have properly pled the essential elements of a negligent repair claim. Here, the Court concludes that the economic loss rule is not a bar to their negligent repair claim.

Defendant's demurrer to Plaintiffs' fourth cause of action for negligent repair based on the economic loss rule is OVERRULED.

Ruling

The Court OVERRULES Defendant's demurrer to Plaintiffs' fourth cause of action for negligent repair.

10. 9:00 AM CASE NUMBER: MSC19-02109
CASE NAME: S&S DRYWALL VS. SCM CONSTRUCTION
***HEARING ON MOTION IN RE: FOR LEAVE TO FILE SECOND AMENDED CROSS-COMPLAINT / MOVED TO 5/29/26 PER GRANTED EX PARTE APPLICATION**
FILED BY: SCM CONSTRUCTION MANAGEMENT SERVICES, INC.
****TENTATIVE RULING:****

Before the Court is a motion for leave to file a second amended cross-complaint by Defendant and Cross-Complainant SCM Construction Management Services Inc. This motion is opposed by Plaintiff and Cross-Defendant S&S Drywall.

Defendant/Cross-Complainant's motion is **GRANTED**.

Defendant/Cross-Complainant shall serve entry of this order on all parties and shall also file the proposed Second Amended Cross-Complaint within ten days of May 29, 2026.

I. Request for Judicial Notice

In support of its motion, Defendant and Cross-Complainant SCM Construction Management Services, Inc. ("SCM") requests judicial notice of:

1. Plaintiff/Cross-Defendant S&S Drywall's ("S&S") Initial Complaint filed in this case October 11, 2019;
2. SCM's Cross-Complaint in this case filed December 2, 2019;
3. SCM's First Amended Cross-Complaint filed August 16, 2021;
4. SCM's Complaint against AUS Decking, Inc., Gonsalves & Santucci. Inc., a California corporation dba Conco, House Construction Inc., Ray Tech Professional Painting, Inc., Tara Coatings, Inc., Wm O'Neill Lath & Plastering Corp., and Does 1-50 (Case No. C22-00483) filed March 14, 2022;
5. SCM's Complaint against SCS Flooring Systems, Inc., and Does 1-50 (Case No. C23-02390) filed September 21, 2023;
6. the March 4, 2024 stipulation and court order to consolidate cases C22-00483 and C19-02109 and make the latter the lead case;
7. the July 15, 2024 stipulation and court order to consolidate cases C23-02390 and C19-02109 and make the latter the lead case;
8. SCM's March 28, 2024 Request for Dismissal as to House Construction Inc;
9. SCM's January 20, 2026 Request for Dismissal as to AUS Decking, Inc., Gonsalves & Santucci. Inc., a California corporation dba Conco, Ray Tech Professional Painting, Inc., Tara Coatings, Inc., Wm O'Neill Lath & Plastering Corp, and SCS Flooring Systems, Inc.

A court may take judicial notice of court records pursuant to Evidence Code section 452(d).

Defendant's unopposed request for judicial notice is **GRANTED**.

II. Brief Factual and Procedural Background

This case arises out of a dispute between a general contractor (Defendant/Cross-Complainant SCM) and a sub-contractor (Plaintiff/Cross-

Defendant S&S) over the adequacy of sub-contracted construction work performed on a Walnut Creek apartment building and the payment for services rendered therein.

S&S filed its Initial Complaint in this case on October 11, 2019. (Request for Judicial Notice (“RJN”) Exhibit A.) SCM filed a Cross-Complaint on December 2, 2019, which it amended on August 16, 2021. (*Id*. Exhibits B, C.) SCM filed two separate, but related actions against other sub-contractors involved in the construction project in 2022 and 2023, respectively. (*Id*. Exhibits D, E.) The Court consolidated those cases, making the case initiated by S&S in 2019 the lead case. (*Id*. Exhibits F, G.) The defendants from the related actions have since been dismissed, leaving S&S and SCM the sole parties to the lawsuit again. (*Id*. Exhibits H, I.)

SCM now seeks to amend its First Amended Cross-Complaint to remove property damage allegations. (Memorandum of Points and Authorities in Support of Cross-Complainant SCM Construction Management Services, Inc.’s Motion for Leave to File Second Amended Cross Complaint (“Motion”) at 1:8-10.) On March 26, 2026, SCM’s attorney Melissa Tong sought stipulation from S&S’s attorneys Daniel Herns and Sheryl Traum to a proposed Second Amended Cross-Complaint; Mr. Herns did not respond, and Ms. Traum declined. (Declaration of Melissa Tong in Support of Cross-Complainant SCM Construction Management Services, Inc.’s Motion for Leave to File Second Amended Cross-Complaint (Tong Dec.) at 1:24-26.)

The instant motion was filed April 3, 2026. At an April 6, 2026 Trial Setting Conference, the Court referred this case to the Settlement Mentor Program. (Plaintiff’s Opposition to Defendant and Cross-Complainant’s Motion for Leave to File a Second Amended Cross Complaint (“Opp.”) at 2.)

III. Legal Standard

A trial court has discretion to allow amendment of any pleading at any stage of the proceedings, even as late as trial. (Code Civ. Proc., §§ 473, 576; *Sullivan v. City of Sacramento* (1987) 190 Cal.App.3d 1070, 1081.) “[C]ourts should indulge in great liberality in permitting amendment so that no litigant shall be deprived of his day in court because of technicalities.” (*Landis v. Superior Court of Los Angeles County* (1965) 232 Cal.App.2d 548, 554.) “Indeed, ‘it is a rare case in which “a court will be justified in refusing a party leave to amend his pleading so that he may properly present his case”’” (*Douglas v. Superior Court* (1989) 215 Cal.App.3d 155, 158, quoting *Morgan v. Superior Court of Los Angeles County* (1959) 172 Cal.App.2d 527, 530.)

Where inexcusable delay *and* probable prejudice to the opposing party are present, denial of leave to amend is warranted. (*Estate of Murphy v. Gulf Ins. Co.* (1978) 82 Cal.App.3d 304, 311.) Prejudice may be shown for instance where “the trial date is set, the jury is about to be impaneled, counsel, the parties, the trial court, and the witnesses have blocked the time, and the only way to avoid prejudice to the opposing party is to continue the trial date to allow further discovery.” (*Magpali v. Farmers Group* (1996) 48 Cal.App.4th 471, 488.)

The court’s discretion to deny leave is accordingly narrow, however, and “instances justifying denial of leave are rare.” (*Armenta ex rel. City of Burbank v. Mueller Co.* (2006) 142 Cal.App.4th 636, 642.) “[A]bsent a showing of prejudice to the adverse party, the rule of great liberality in allowing amendment of pleadings will prevail.” (*Board of Trustees v. Superior Court* (2007) 149 Cal.App.4th 1154, 1163.)

IV. Analysis

As an initial matter, the Court notes that S&S’s Opposition does not comply with California Rules of Court prescribing form and format of papers presented for filing in the trial courts. California Rule of Court 2.108 requires that “lines on each page must be one and one-half spaced or double-spaced and numbered consecutively.” (Cal. Rules of Court, rule 2.108.) California Rule of the Court 2.109 also requires that each page be numbered consecutively at the bottom. (Cal. Rules of Court, rule 2.109.) S&S’s Opposition is single spaced and the pages are not numbered at the bottom. The Court reminds S&S’s counsel to ensure future papers align with proper form and format as prescribed by the California Rules of the Court.

On the merits, S&S’s Opposition is unavailing. S&S urges the Court, without citation to any legal authority, to deny SCM’s motion for leave to amend its First Amended Cross-Complaint on the grounds that it is made in bad faith, with an eye toward eliminating S&S’s insurance carrier from the litigatory landscape in order to pressure S&S to agree to SCM’s allegedly recently proposed “mutual walkaway offer." (Opp. at 2.) This is not the type of prejudice that warrants a denial of leave to amend.

The proposed amendment relies on the same set of facts and requires no additional investigation or rebuttal witnesses. (*City of Stanton v. Cox* (1989) 207 Cal.App.3d 1557, 1563.) In fact, SCM seeks not to expand but to narrow the scope of its Cross-Complaint by deleting the property damage allegations. (Motion at 2:14-16.) The proposed amendment will not require delaying trial, nor will it result in added costs of preparation and/or increased discovery burdens. (*Miles v. City of Los Angeles* (2020) 56 Cal.App.5th 728, 739.) S&S points to no authority, and the Court is not aware of any, that holds that leave to amend should be denied where its permission would negatively impact settlement negotiations.

V. Conclusion

For the foregoing reasons, SCM's motion for leave to file a Second Amended Cross-Complaint is **GRANTED**.

11. 9:00 AM CASE NUMBER: MSC20-00798
CASE NAME: DAVEN VS. WING ENTERPRISES NKA LITTLE GIANT LADDERS SYSTEMS, LLC
HEARING ON ORDER TO SHOW CAUSE IN RE: WHY THE COURT SHOULD NOT ISSUE SANCTIONS UP TO $2,000.00 AGAINST COUNSEL: BROWN FOR FAILURE TO OBEY COURT ORDERS
FILED BY:
TENTATIVE RULING:

The court issued an order to show cause to Michael Brown, counsel for Plaintiff in writing on April 8, 2026.

PLEASE TAKE NOTICE THAT YOU ARE ORDERED TO APPEAR MAY 29, 2026 AT 9:00 a.m. in Department 32 of the above-entitled court at 725 Court Street, Martinez, California, and show cause, if cause there be, why monetary sanctions of up to $2000 should not be imposed and why the clerk of the court should not be ordered to report your conduct to the State Bar for disobeying an order of the court in cross examining expert witnesses about the content of tenor of any scientific, technical or professional text, treatise, journal or similar publication without first complying with Evid. Code Section 721. Any response to this OSC must be filed and served at least five court days prior to this hearing.

The court takes judicial notice of the Reporter's Certified and partial transcripts of proceedings from Wednesday, April 1, 2026 outside the presence of the jury*; and Thursday April 2, 2026, the partial Cross Examination of Brian Russell, (Trans. pages 1-39.)

Counsel Brown, in his Response filed May 18, 2026 to the Order to Show Cause admits that during the trial he asked witness Brian Russell "Now are you aware that Erick Knox published a paper disagreeing with that?" (Response, page 4: 5-6.) In his response, Counsel Brown does not suggest that he complied with Evid. Code Section 721 prior to asking this question. An examination of the partial proceedings from April 2, 2026 reveals he did not. His response makes no mention of the court's prior admonishments to him on April 1 and on April 2 not to ask a question about any expert research or publication without first satisfying the requirements of Evidence Code 721(b). Counsel Brown attaches no transcript to his Response and does not deny that he had been so admonished. Instead, his Response recounts certain events and simply omits any mention of the court's admonishments to him about Evidence Code Section 721(b).

Evidence Code Section 721(b) forbids an expert witness from being cross-examined about other research or publications unless one of three specific conditions is met. Section 721(b) provides, in relevant part,

(b) If a witness testifying as an expert testifies in the form of an opinion, he or she may not be cross-examined in regard to the content or tenor of any scientific, technical, or professional text, treatise, journal, or similar publication unless any of the following occurs:
(1) The witness referred to, considered, or relied upon such publication in arriving at or forming his or her opinion.
(2) The publication has been admitted in evidence.
(3) The publication has been established as a reliable authority by the testimony or admission of the witness or by other expert testimony or by judicial notice.

Prior to asking witness Brian Russell on April 2, 2026, "Now are you aware that Erick Knox published a paper disagreeing with that?" Counsel Brown had been admonished at side bar and ordered that he may not mention any studies or publications without first complying with Evid. Code Section 721(b). The court has a clear recollection that counsel Brown in at least two occasions had been instructed that he could not ask about any outside report or study without first complying with Evidence Code Section 721.*

Counsel Brown was first admonished about Evidence Code section 721(b) on April 1, 2026, during his cross examination of defense expert witness Dr. David Fortenbaugh. (Brons Decl., page 2: 3-10; page 3:11-26; page 4:14-17)* As stated in the Brons Decl., "To my recollection, when Defense counsel Mr. Kronenberg objected, the court halted the proceedings – allowing the jury to leave, Mr. Brown was then admonished not to ask any defense witness about the Article without laying proper foundation. The Court had already ruled what type of evidence the Article was to be used as *i.e.*, that it fell within the scope of CCP Sec. 721, then Mr. Brown was supposed to identify what kind of witness is being provided the document (*i.e.* expert or non-expert), and then identify whether any of the factors under CCP Sec. 721(b) have been satisfied to allow for it to be provided to the witness, or also address whether there was another exception to the rule against hearsay. Mr. Brown did not do any of these steps." (Brons Decl. Page 4:23 – 5:2.) The court finds the Brons Declaration's description of the events of April 1, 2026 is consistent with her recollection of the events. On April 1, 2026, Counsel Brown was instructed not to inquire about expert research or studies without complying with Section 721(b) as follows:

The Court: So, Counsel, unless—as we discussed at the bench, unless you meet the requirements of Evidence Code 721(b), it is inappropriate to cross-examine an expert witness on a publication. So unless you can proffer taht you can meet one of the three requirements, I need you to move on.

Mr. Brown: Okay.

(Transcript of Proceedings April 1, 2026, 4:20 p.m., page 1:8-14).

On April 1, 2026, after the jury was excused, Counsel Brown was specifically instructed that attempting to cross-examine a witness specifically about the Erick Knox article was "entirely inappropriate, illegal and barred under the hearsay laws." The court's instructions were clear and specific at the end of the day on April 1, 2026. (See colloquy in Transcript from April 1, 2026 pages 5-15.)

The court's recollection that Counsel Brown was admonished about Evid Code Section 721(b) on April 1, 2026 is also supported by the partial transcript of proceedings on April 2, 2026. As soon as counsel Brown asked the question at issue, and counsel Kronenberg requested a sidebar, the transcript reflects that the court said, "I have made rulings *on this very subject*. You cannot try and backdoor in some kind of outside person's opinion that has not been properly laid a foundation before the Court. (sic) Erick Knox is not here and you can't get what you think his opinions may or may not be into this trial by asking improper questions." (Trans, page 26: 9-15, emphasis added).

Another transcribed verification of the court's recollection that she ordered counsel Brown not to ask about any outside expert research or study unless he first complied with Evid Code 721(B) is in a statement by Mr. Kronenberg from the partial transcript of April 2, 2026 proceedings, at page 34:5-18, as follows.

Court: You cannot ask about any expert study or other research unless 721(b) of the Evidence Code has been satisfied. And if you are not sure what those requirements are, then you'd better not ask at all. And I'm going to make *another* order that you cannot ask about any outside expert research or study unless you have, outside the presence of the jury and to the Court's satisfaction, satisfied Evidence Code 721(b) for cross-examining about an outside expert's study.

Mr. Brown: Very well.

Mr. Kronenbery: And your Honor, I'm not gonna beat a dead horse. I mean, I understand that you just issued the order. **That is the identical order you issued yesterday. It didn't work yesterday.**

Trans. Page 34: 5-18 (emphasis supplied).

The court finds by a preponderance of the evidence that attorney Michael Brown, having twice been specifically admonished by the court not to cross examine an expert witness about the content or tenor of any scientific, technical, or professional text, treatise , journal, or similar publication without first complying with Evid. Code Section 721 on Wednesday April 1, 2026 and again at on April 2, 2026, asked witness Brian Russell, "Now, are you aware that Erick Knox published a paper disagreeing with that?" without first complying with section 7231(b). (Trans. Page 26: 1-3.) The court finds that this was a direct violation of the court's order, committed in open court, on the record, in front of the jury.

The court finds that Counsel Brown's Response to the OSC is troubling. First, Counsel Brown does not attach any transcripts to his response to the OSC. Second, it appears that Counsel Brown acknowledges that the court's ruling preventing him from asking Dr. Fortenbaugh on April 1, 2026 about Dr. Knox's publication was based on Counsel Brown's failure to comply with Evidence Code section 721. (Response, page 3:17-25) Dr. Fortenbaugh did not refer to, consider or rely on an article by Erick Knox. (Brons Decl., page 3:11-12.) Thus, Counsel Brown admitted that the Court prevented him from inquiring into an article or publication on April 1, 2026 during the testimony of Dr. Fortenbaugh, and further admitted that he was instructed not to violate Evidence Code section 721(b) on April 1, 2026.

The court notes that Counsel Brown does not take acknowledge he directly violated the court's repeated orders to comply with Evidence Code Section 721(b) before asking a witness about any expert research or study. His Response omitted any mention that he had been specifically admonished to comply with Evidence Code Section 721 twice before he asked the question, "Now, are you aware that Erick Knox published a paper disagreeing with that?" And nothing in the record shows any attempt in his questioning to satisfy Section 721(b) prior to asking that question.

The court notes that Counsel Brown does not express remorse for his conduct and his choices. Indeed, Counsel Brown's Response to the OSC does not appear even to acknowledge the reason for the OSC. He does not mention any reasons that would mitigate the seriousness and the brazenness of his conduct.

The court finds that Counsel Brown by his lack of acknowledgment of the reason for this OSC demonstrates that he is at high risk for disobeying a similar court order in the future. In addition to a lack of respect for court orders, this demonstrated a disregard for the fairness of court processes.

The Court imposes a monetary sanction of $1500 under Code of Civil Procedure 177.5 for violation of a lawful order. This sanction is due and payable to the

Contra Costa Superior Court within 30 calendar days of service of notice of entry of order. Further, pursuant to Business and Professions Code Section 6086.7, the Court instructs the clerk of the Court to report these findings and orders to the State Bar of California.

*The court reserves the right to supplement this opinion with additional citations to the certified transcript from April 1, 2026.

12. 9:00 AM CASE NUMBER: N26-0240
CASE NAME: CHELSEA STORKAN VS. DIRECTOR, DEPARTMENT OF MOTOR VEHICLES
HEARING IN RE: PETITION FOR WRIT OF ADMINISTRATIVE MANDAMUS
FILED BY: STORKAN, CHELSEA
TENTATIVE RULING:*

Hearing on this petition is continued on the court's motion to August 7, 2026 at 9:00 a.m., Dept. 32.

The administrative record was not received by the Court until May 21, 2026, which was too late for the Court to review for this hearing.

Opposition, if any to the Petition for Writ of Mandamus must be filed and served 9 court days in advance of the hearing. Reply pleadings must be filed and served 5 court days in advance of the hearing.

13. 9:00 AM CASE NUMBER: N26-0285
CASE NAME: TANGELA MENZISE VS. DIRECTOR, DEPARTMENT OF MOTOR VEHICLES
HEARING IN RE: PETITION FOR WRIT OF MANDATE
FILED BY:
TENTATIVE RULING:*

Petition for Writ of Mandate is **denied without prejudice. The hearing on this matter will be continued to October 23, 2026 at 9:30 a.m. in Department 32.**

Petitioner has failed to provide the Court with a certified copy of the administrative record. (Govt. Code §11523.) Petitioner has the burden to provide the Court with a certified copy of the administrative record before a hearing can be had on the petition. (Contra Costa v. Social Welfare Board (1962) 199 Cal.App.2d 468, 471 [disapproved on other grounds in Frink v. Prod (1982) 31 Cal.3d 166]; Leal v. Gourley (2002) 100 Cal.App.4th 963, 970.)

Without the administrative record, a court cannot proceed in compliance with CCP §1094.5. (Buckhart v. San Francisco Residential Rent Stabilization & Arbitration Board (1988) 197 Cal.App.3d 1032, 1036; Elizabeth D. v. Zolin (1993) 21 Cal.App.4th 347, 354.) Based upon the lack of a certified or complete copy of the administrative record of the DMV hearing for the suspension of Plaintiff's license, the petition must be denied or the hearing continued.

The Court notes that it does not appear that the DMV was validly served with the Petition for Writ of Mandamus. Under California Code of Civil Procedure Section 1096 a writ of mandate must be served in the same manner as a summons in a civil action. This means the Plaintiff's “Proof of Service by First Class Mail,” filed February 20, 2026, and purporting to show that the Petitioner's Petition for Writ of Administrative Mandamus, Request for Administrative Record, and Notice of Motion for Writ of Administrative Mandamus was mailed to the DMV did not constitute valid service. In addition, Petitioner has not shown compliance with Vehicle Code Section 24.5 for service of civil process against the DMV.

Plaintiff filed a document entitled "Request for Administrative Record" on February 18, 2026, which appears to be addressed to the DMV, but the file contains no proof that this request was properly served upon the DMV.

PASTERULESHERE

Discovery Law & Motion

14. 9:01 AM CASE NUMBER: C23-00634
CASE NAME: JANE DOE VS. GOLDEN GATE BELL, LLC.
***HEARING ON MOTION FOR DISCOVERY COMPEL COMPLIANCE WITH COURT ORDER FOR PRODUCTION/INSPECTION OF DEFENDANTS' ELECTRONICALLY STORED INFORMATION**
FILED BY: DOE, JANE
<u>*TENTATIVE RULING:*</u>

The Plaintiff's motion to compel compliance is **denied.** The court finds that the Defendants have acted with substantial justification, as the delay resulted from medical leave of the attorney primarily responsible for ESI coordination, and the inherent challenges of coordinating the searches in this particular case. The court also finds that the Defendants have never refused production and have been actively implementing the protocol.

The court denies the Plaintiff's requests for sanctions. The court sets a compliance deadline of 30 days from May 29, 2026.

15. 9:01 AM CASE NUMBER: C23-02656
CASE NAME: MARIA ANGUIANO VS. JOHN BALQUIST
***HEARING ON MOTION FOR DISCOVERY TERMINATING SANCTIONS AGAINST PLAINTIFF ALEJANDRA CHAVEZ ORTIZ**
FILED BY: BETHEL ISLAND ESTATES MHC, LLC
****TENTATIVE RULING:****

See tentative ruling in Line 3. This line item is duplicative of the motion in Line 3.

16. 9:01 AM CASE NUMBER: C23-03011
CASE NAME: ANGEL MONTOYA VS. CITY OF RICHMOND
***HEARING ON MOTION FOR DISCOVERY COMPEL THE DEPOSITION OF MAYOR EDUARDO MARTINEZ**
FILED BY: MONTOYA, ANGEL
****TENTATIVE RULING:****

The motion to compel the deposition of Mayor Eduardo Martinez is denied. Plaintiffs have failed to show that the Mayor has direct personal factual information on material issues in this case and that the information cannot be obtained from any other source.

Plaintiff is the former Fire Chief for the City of Richmond for approximately two years between November 2021 and October 2023. He brings a wrongful termination case against the City of Richmond.

Defendant has shown and Plaintiff does not contest that Plaintiff's employment was terminated by City Manager Shasa Curl. Defendant asserts the City Manager authored the Plaintiff's termination letter, identified herself as the decision-maker in deposition and verified discovery responses on the reasons for the Plaintiff's termination. She does not believe she discussed terminating Plaintiff with the Mayor. Under the city charter, the city manager's administrative responsibilities include, without limitation, appointing and removing all department heads and employees of the city. Defendant alleges that the City Counsil has no authority to make personnel decisions involving department heads, including the fire chief.

Plaintiffs assertions that Mayor Martinez possesses direct factual information on material issues in this case that cannot be obtained from any other sources are speculative. For example Plaintiffs assert that Mayor Martinez presided over and attended city council meetings where Plaintiff's leadership and position as Fire Chief were at issue. Attendance at a public meeting means by definition there were other people there who could report on what the Mayor said if anything about the Plaintiff's continued employment. Mere attendance at, even "presiding over" a city council meeting, especially where the City Council does not have the authority to fire a department head, does not amount to the Mayor having direct personal factual information on issues material to the Plaintiff's termination. Even communicating "employment related opinions" about Plaintiff to the city manager – especially where the Plaintiffs have the communication in question referencing "last night's presentation at city council" does not mean that the Mayor has direct personal factual information on material issues that cannot be obtained from another source.

In contrast to the vague allegations of Plaintiff about the Mayor, the city manager has stated in deposition that she was the decision maker to fire Plaintiff, and can (or has already been) deposed to the extent of the involvement or influence of the Mayor. This undermines the Plaintiff's contention that material information even if possessed by the Mayor could not be obtained from any other source. Material Information about the fire chief's termination, even if the Mayor had direct personal knowledge of such, would be irrelevant if it were not communicated to the decision maker, the city manager. Thus Plaintiff's cannot meet their burden.

The motion to compel the deposition of Mayor Martinez is **denied**.

17. 9:01 AM CASE NUMBER: C23-03011
CASE NAME: ANGEL MONTOYA VS. CITY OF RICHMOND
***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER ANSWERS AND ATTENDANCE AT DEPOSITION OF SHASA CURL**
FILED BY: MONTOYA, ANGEL
TENTATIVE RULING:*

Plaintiff's Motion to Compel Further Answers is **denied.**

Question 1: denied as to "why." Witness testified she did order Plaintiff to attend it. Witness justifiably took issue with the "defend the ADR contact." Therefore the form of the question "assumes facts not in evidence," because she cannot give an explanation for something she took issue with doing in the first place.

Question 2: denied. Witness answered she gave an order to attend it, but justifiably took issue with the word "defend." Burden is on propounder of question to ask a question that is intelligible.

Question 3: denied. Same reasoning as Question 2.

Question 4: denied. Assumes facts. Witness took issue with the "defend" verbiage.

Question 5: denied. Witness answered she does not recall.

The Plaintiff's request for appointment of discovery referee is denied at this time.

Pursuant to Section 2025.480(j) of the Code of Civil Procedure, the court awards sanctions against Plaintiff's counsel, Steven Harvey in favor of Defense in the amount of $3,087.50. The sanctions must be paid within 15 calendar days of service of notice of entry of this order.

18. 9:01 AM CASE NUMBER: C25-01314
CASE NAME: GABRIEL SUTTON VS. JOSEPH BALLESTEROS
***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER RESPONSES TO REQUESTS FOR**

PRODUCTION OF DOCUMENTS, SET ONE
FILED BY: SUTTON, GABRIEL
TENTATIVE RULING:*

Plaintiff's motion to compel production of documents is granted. The court finds the motion was not untimely because the Defendant's objections were served on January 16, 2026, and 45 days from that date is March 2, 2026. The motion was initially filed on February 25, 2026, well within the 45-day period.

The court takes judicial notice of its own file and notes this lawsuit currently is not stayed due to arbitration. The Defendants filed their Answer on October 25, 2025 and did not file a motion to compel arbitration until May 13, 2026. The Defendants' motion to compel arbitration was filed 149 days after they were initially served with the Request for Production of Documents and 77 days after the Plaintiff's motion to compel was originally filed. The hearing on the motion to compel arbitration is set for October 9, 2026.

Defendants assert that the court lacks jurisdiction over the discovery dispute while their motion to compel arbitration is pending. The court disagrees. At this time, there is no stay of litigation in place. The court does not lack jurisdiction to rule on this motion to compel discovery. At this time there is no legal bar to Defendant's compliance with discovery.

Defendants assert they are concerned about waiving their right to compel arbitration if they respond to discovery. The facts in the case they cite as precedent, *Bower v InterCon Security Systems, Inc.* (2014) 232 Cal.App. 4th 1035 differ from the instant case. There the Defendant not only responded to plaintiff's discovery, it propounded its own discovery including 102 document requests pertaining to a putative class of security guards. *Bower*, 232 Cal.App. 4th at 1040. The trial court held Defendant "waived the right to arbitrate by propounding and responding to class discovery." *Bower*, 232 Cal.App. 4th at 1041. The trial court in Bower had surmised that the defendant had "declined to compel arbitration at the outset as a 'tactical' decision," and focused on the defendant's propounding and responding to discovery which was inconsistent with arbitration. *Bower*, 232 Cal.App. 4th at 1041. Defendants here are refusing to comply with discovery addressed to them and have not propounded discovery of their own.

The court finds that the other defendant’s objections are boilerplate, e.g., relevance, oppressive, harassing and unduly burdensome, and overrules them. To the extent any privilege is asserted Defendants have failed to produce a privilege log. Any objections based on privacy may be addressed by a protective order.

The court finds that Defendants acted with substantial justification, however, and declines to award sanctions. Defendants are ordered to produce documents and code-compliant responses within 20 calendar days of service of notice of entry of this order.

Issue Conferences

19. 10:00 AM CASE NUMBER: C26-01529
CASE NAME: OAK HILL TERRACE HOMEOWNERS ASSOCIATION VS. LINDA TAYLOR-RUIZ
HEARING IN RE: PERMANENT INJUNCTION SET BY DEPT ALL PARTIES TO APPEAR IN PERSON.
FILED BY:
TENTATIVE RULING:*

Parties to Appear.